Beyond the Chicken and Egg: How entrepreneurs prepare to jumpstart network effects to scale up platforms

Timothy E. Ott
Kenan-Flagler Business School
University of North Carolina at Chapel Hill
McColl Suite 4600, 300 Kenan Center Drive
Chapel Hill, NC 27599
Tel. (732) 778 - 6692
Email: Timothy_Ott@kenan-flagler.unc.edu

Pinar Ozcan
Professor of Entrepreneurship and Innovation
Saïd Business School
University of Oxford, UK
Contact: pinar.ozcan@sbs.ox.ac.uk

ABSTRACT

Scaling is a critical challenge in entrepreneurship, particularly for platforms which need to balance marketplace interdependence as they transition from early traction to activating network effects. Premature scaling is a common cause of failure so it is vital to understand how firms navigate strategic decision-making during this "adolescence" period. Through an inductive multiple-case study of eight two-sided platform ventures, we develop a framework explaining how founders sequence and pace interdependent decisions across domains to enable consistent, high-quality marketplace interactions. We contribute to the platform literature by showing sequencing is contingent on marketplace characteristics, which highlights that network effects must be deliberately designed before scaling. Additionally, we contribute to entrepreneurial strategy research by showing how ventures structure decisions as they move from initial traction toward scalability.

Managerial summary

For platform startups, scaling too early is often a cause of failure. Shifting from initial traction to activating network effects requires founders to master complex, connected strategic decisions during a vulnerable "adolescent" growth phase. Based on an in-depth study of eight two-sided platforms, we offer a framework showing how successful founders intentionally sequence and pace their choices to ensure consistent, high-quality marketplace interactions. We show that effectively structuring strategic decisions is never arbitrary; answering four basic questions about a specific marketplace's characteristics can help the entrepreneur navigate through adolescence. Ultimately, network effects do not happen automatically, but must be deliberately designed before a venture attempts to scale. This research provides a roadmap for how ventures structure critical decisions to move from initial traction toward scalability.

Under review at SMJ, do not circulate – June 23, 2026

Keywords: Strategy Formation, Entrepreneurship, Platforms, Scaling, Decision-Making

INTRODUCTION

Scaling is a defining aspiration and challenge in entrepreneurship. Founders are often encouraged to “think big” and scale fast, yet research increasingly shows that premature scaling is a leading cause of failure for ventures (Eisenmann, 2021; Lee and Kim, 2024). Scaling requires more than customer acquisition, funding, or even product-market fit: it involves orchestrating a complex set of interdependent choices across product, operations, team, and market expansion (Clough, Fang, Visa, & Wu, 2019; DeSantola & Gulati, 2017). That is, there are many strategic decisions that must be made during a period of "adolescence" to help the firm transition from early traction to a scalable organization, often under extreme uncertainty and with limited information.

These challenges are magnified for platform ventures. Multi-sided platforms, which are business models that facilitate interactions between distinct user groups, offer exceptional opportunities for scaling through network effects (Rochet & Tirole, 2003; Katz & Shapiro, 1994). When activated, these self-reinforcing dynamics can generate exponential growth, often producing the classic “hockey-stick” curve. Yet for many platform entrepreneurs, the central challenge lies not in managing network effects at scale, but in making the strategic decisions that jumpstart network effects in the first place to enable later scaling. Platforms must reach simultaneous adoption across multiple sides of the market, and early missteps in supply, demand, product, or geography can stall momentum or entrench fragility (Boudreau, 2012; Cennamo & Santalo, 2013).

While platform research has yielded important insights into pricing, governance, and competition in mature multi-sided market ecosystems (Eisenmann, Parker, & Van Alstyne, 2006; Tiwana, 2014; Zhu & Iansiti, 2012), it offers limited guidance on the “adolescent” phase: the period when ventures must create the conditions for network effects to ignite. We focus on this earlier stage and examine how founders of two-sided platforms navigate interdependent design choices that determine whether scaling can occur at all. Specifically, we explore: *how do entrepreneurs sequence and pace their early strategic choices to prepare for rapid scaling of two-sided platforms?*

To explore this question, we conduct an inductive multiple case study (Eisenhardt, 1989) of eight two-sided platform ventures. Our sampling includes three ventures for which we have four waves of in-depth field data and five high-profile ventures for which we rely on extensive archival data and some interviews. A strength of our study is combining the depth of field cases with the breadth of archival ones. We thus answer calls for both rich examinations of mechanisms and more cross-industry studies in the platform literature (Rietveld & Schilling, 2021) We track these ventures from founding until they begin to accelerate their growth (i.e., scale).

We make two primary contributions. First, we advance platform strategy research by developing a process-based explanation of how entrepreneurs prepare to activate network effects. We show that the central challenge is not simply to design pricing or governance mechanisms, but to sequence and align interdependent decisions across supply, demand, product, and geography to create the conditions for scalable growth. Second and going beyond platform theory, we contribute to entrepreneurial strategy formation by explaining how founders make decisions around demand and geography as they move from initial traction toward scalable growth. Together, our findings shift attention from managing network effects at scale to understanding how they are constructed in the "adolescent" pre-scaling phase.

THEORETICAL BACKGROUND

Scaling has long been recognized as a central hurdle for new ventures, yet research shows that the transition from early traction to sustained growth is rarely linear. Rather than simply expanding what already works, founders must make a series of interconnected decisions under uncertainty about product design, organizational routines, customer acquisition, and resource allocation, that determine whether their firms can grow at all (Eisenmann, 2021; DeSantola & Gulati, 2017; Clough et al., 2019). That is, this "adolescent" period requires entrepreneurs to discover not only who their users are beyond early adopters, but also which elements of their business model must be in place before growth is feasible. Recent process work highlights that entrepreneurs might better manage these interdependent decisions to set up for later growth by sequentially learning about critical elements and interdependencies in the business as a precursor to growth (Ott & Eisenhardt, 2020; Tidhar et. al., 2025). Moreover, purposely slowing or delaying growth can help get activities right before scaling (Büge and Ozcan, 2021; Lee & Kim, 2024; McDonald & Eisenhardt, 2020). Overall, this literature increasingly highlights the need to understand how ventures structure and pace their early strategic choices as they attempt to move toward scalable growth.

Scaling challenges are particularly acute for platform ventures. Unlike product-based ventures, where scale can proceed through straight-line customer acquisition, platforms must reach simultaneous adoption across multiple sides of the market to generate value due to the presence of network effects (Rochet & Tirole, 2003; Katz & Shapiro, 1994): as more users join one side of the market, participation on the other becomes more attractive, setting off growth momentum. When these dynamics take hold, platform ventures can scale rapidly, often displaying the classic "hockey-stick" growth curve.

While the benefits of network effects for growth are well understood, the central strategic challenge for entrepreneurs is how to set them in motion. Parker and Van Alstyne (2005: 149) observe that "the chicken-and-egg problem bedevils every new platform: without users on one side, it is difficult to attract users on the other." In early stages, network effects are weak or even negative, since thin markets expose early adopters to poor experiences (Caillaud & Jullien, 2003). As Boudreau (2012: 1410) put it in his large-scale study of software platforms, "network effects vary widely in strength, and weak or mismanaged effects may fail to provide any advantage." A single bad interaction early on can spread quickly through word of mouth, undermining adoption before the platform reaches viability (Cennamo & Santalo, 2013). Before network effects can drive scale, market designers must deliberately construct the organizational and strategic conditions that allow the flywheel to spin, and must keep resolving market problems as they evolve (Roth, 2015). This amplifies the risks of premature scaling and makes the sequencing of early strategic decisions especially consequential.

The Risks of Premature Scaling

While all entrepreneurs face investor and market expectations to grow aggressively, platform entrepreneurs often feel heightened pressure to "get big fast" (Eisenmann et al., 2006) due to the winner-take-all dynamics possible with network effects. Yet research increasingly shows that premature scaling is one of the most common causes of platform failure. Eisenmann (2021), in his analysis of startup postmortems, identifies the 'speed trap' where ventures scale rapidly before achieving product/market fit or operational resilience. This leads to breakdowns in profitability, systems, and culture. Similarly, DeSantola and Gulati (2017) suggest that rapid growth without adequate organizational readiness (e.g., flexible routines, robust coordination structures, leadership capacity), undermines adaptability by locking ventures into rigid processes and commitments.

At a fundamental level, premature scaling magnifies fragility because network effects amplify weaknesses as much as strengths of a platform (Cusumano, Gawer, & Yoffie, 2019). For instance, Tidhar, Hallen, and Eisenhardt (2025) show that ventures lacking sound unit economics, i.e., positive contribution margins at the level of individual transactions or customers, cannot sustain growth trajectories, regardless of user acquisition rates. Roth (2015) makes a similar point in matching-market terms, emphasizing that markets must first achieve local thickness, i.e., a sufficiently large pool of participants to make valuable matches likely, while reducing congestion, the coordination frictions that prevent timely or high-quality matches. Gawer and Cusumano (2014) agree that participants matter, but also argue that platform scaling depends on the evolution of a platform ecosystem, its architecture and governance in addition to users and suppliers (Gawer & Cusumano, 2014).

Finally, external environments also shape the advised pace and sustainability of platform scaling. Competition is one important factor. Cennamo and Santalo (2013) show that in highly contested platform markets, scaling strategies must strike a balance between expansion and differentiation, since pursuing winner-take-all moves too aggressively can erode rather than sustain growth. Institutional conditions are another. Büge and Ozcan (2021) argue that while rapid expansion is feasible when markets already provide liquidity, in regulated or institutionally complex settings platforms must scale more cautiously, consolidating supply quality, trust, governance, and viable unit economics before pursuing growth. Zhu and Iansiti (2012) similarly demonstrate that scaling strategies hinge on institutional safeguards for value capture: in markets with weak intellectual property protection, platforms face piracy risks that undermine monetization and force delays or adaptations, whereas strong IP regimes enable more aggressive growth. Cennamo, Ozalp, and Kretschmer (2018) further highlight how institutional heterogeneity across countries shapes ecosystem trajectories, while Evans and Schmalensee (2016) emphasize how infrastructure and cultural norms influence platform diffusion. Taken together, this body of work shows that the pace of scaling depends not only on organizatoinal readiness or market conditions, but also on the competitive, regulatory, and institutional environments in which the entrepreneurs operate.

Early Decisions Leading to Scaling of New Ventures

In this paper, we argue that to avoid premature scaling, founders of new ventures must solve a series of design problems during the adolescent period. To start with, *generating early demand* is a fundamental challenge for all startups. Without meaningful uptake, even the most promising products or services may never gain traction. This challenge is magnified for platform ventures, where ensuring demand-side participation presents its own difficulties. Prior research emphasizes that strategic choices such as subsidizing one side or pricing access asymmetrically can help attract early adopters (Eisenmann et al., 2006). Other scholars argue that price alone often cannot create thick markets and emphasize the need for purposeful market design (Roth, 2005). For instance, Zhu & Iansiti (2012) show that even a late entrant like Microsoft's Xbox was able to counter Sony's dominance by leveraging a modest quality advantage, combined with strong expectations about future applications and sufficient indirect network effects. More recent work highlights that beliefs and expectations about a platform's future size can also drive adoption, as users respond not only to current network size but also to anticipated growth (Boudreau, 2021). While these insights underscore the centrality of demand in igniting network effects, they leave open the question of how early-stage platforms, facing limited data and uncertain user segments, can practically discover and mobilize demand beyond early adopters to allow network effects to take hold.

While attracting customers is a common challenge for all ventures, an additional challenge that is unique to platforms is figuring out the other sides of the platform. Platforms face a 'chicken-and-egg' problem in which no side will join until the other is already in place (Caillaud & Jullien, 2003; Eisenmann et al., 2006). Hagiu (2014) argues that early strategic decisions, including which sides to bring on and how to govern their interactions, are critical for the long-run success of multi-sided platforms. Most platforms bring together two sides, demand and supply, making the design and sequencing of these sides a foundational strategic choice. Prior work shows that participants on one side of a platform are often not homogeneous: some exert disproportionate influence over others, thereby shaping the trajectory of adoption (Boudreau, 2012). In these cases, founders must figure out how to attract and retain the "right" *suppliers,* those who will jumpstart the network effects by attracting users and other suppliers, to join and remain active. Research on transaction platforms demonstrates that doing so depends on a mix of interrelated strategic choices such as pricing, governance, and incentive structures (Dushnitsky, Piva & Rossi-Lamastra, 2022; Wormald, Shah, Braguinsky, & Agarwal, 2023). Related work on openness further shows that early governance choices strongly influence supplier participation: Boudreau (2010) finds that granting access to independent developers accelerates innovation, whereas excessive openness can dilute it. Together, these insights highlight that managing the supply side is more than a numbers game: it requires careful attention to who joins early, how they influence others, and which design choices enable sustained participation.

A third challenge concerns *product design*. Entrepreneurial research has emphasized the benefits of launching a "minimum viable product" (MVP) to generate rapid feedback while conserving resources (Ries, 2011). This approach highlights the value of experimentation and iterative improvement before committing to costly build-outs. Yet for platforms, product decisions involve more than testing a standalone offering; they shape how interactions between multiple sides can occur. This involves building a scalable, automated architecture and governance features, e.g., identity/quality verification, pricing/availability, dispute resolution, that makes cross-side interactions predictable without manual intervention (Tiwana, 2014; Cusumano, Gawer, & Yoffie, 2019). As Tiwana (2014) argues, platform architecture and design choices are foundational to participation, since they define the rules and boundaries of interaction. Likewise, Cusumano, et al. (2019) show that platforms that invested early in robust infrastructure were better able to attract and retain users once scaling began. These insights underscore a broader tension: while ventures benefit from flexibility and low-cost experimentation, multi-sided platforms must also establish sufficient functionality and reliability to facilitate transactions across sides. What remains unclear in the literature is how early-stage platforms should balance these competing demands, and when investing in a more complete product becomes a prerequisite for jumpstarting network effects.

Another strategic question for early-stage ventures is where to scale. Decisions about *geographic expansion*, or broader scope extension, are central to growth strategy across many types of startups. Founders must weigh whether, when, and how to deepen focus in a core market or pursue new regions, segments, or verticals. These choices shape resource allocation, organizational structure, and customer acquisition strategy. Getting the timing or scope wrong can dissipate momentum or stretch the venture too thin. This challenge is particularly complex for platform entrepreneurs, for whom geography can be understood as both a form of scope and a distinct element of platform design. Prior research has examined scope expansion broadly, showing that platforms face difficult choices about when and how to broaden beyond their initial domain (Eisenmann et al., 2006; Cennamo & Santalo, 2013). Geographic expansion is one manifestation of this problem, yet it poses distinctive challenges for some marketplaces because of the spatially bounded nature of many network effects. For platforms such as dining reservations or ride-hailing, network effects must be achieved city by city, and premature entry into multiple geographies can generate thin markets that undermine adoption (Cennamo & Santalo, 2013). In contrast, other platforms, such as those offering digital services, can scale globally from inception without local critical mass. Moreover, evidence suggests that geography also conditions how platform design choices take effect: Koo and Eesley (2021) show that rural participants adapt more slowly to governance changes than their urban counterparts, highlighting that location-based heterogeneity can shape early performance. Recognizing such variation reinforces the need to consider geography as a core design dimension, one that influences both when and how expansion should occur. Despite its importance, the literature offers limited guidance on how nascent platforms should sequence and manage geographic expansion in the pre-scaling period, leaving open questions about when geography can be treated as an extension of scope and when it must be treated as a fundamental design choice.

Separately, all these decisions are important and could affect a platform's ability to scale. But there is an additional process challenge in that firms do not just have to make one or two of these decisions; they need to somehow make all of them in a short time. This is difficult for a number of reasons. First, progress in one area often depends on simultaneous or prior progress in another (Hagiu, 2014). But because new ventures operate under severe resource constraints, they cannot address all domains simultaneously; choices must be prioritized (Ozcan and Eisenhardt, 2009). For platforms, the interdependence of supply and demand, and oftentimes product and geography, makes this a complex problem where sequence and pace might matter. For example, recruiting supply without a functional product might undermine credibility, while attracting demand in a new city is futile without sufficient local density of supply (Rochet & Tirole, 2003; Katz & Shapiro, 1994). Next, early missteps may be path dependent. If unreliable supply dominates initial transactions, demand may never form, even if later supply improves. Finally, network effects depend on threshold conditions such as liquidity or geographic density, which require focused attention in one domain before positive feedback loops can take hold. Taken together, these features mean that platform founders must carefully sequence their early strategic actions, deciding what to address first, what can be deferred, and how to pace their progression across domains in order to create the conditions for scalable growth.

Our study contributes to entrepreneurship research by attending to the adolescent phase in which ventures lay the groundwork for scalable growth. While the challenge of scaling is common across startups, we focus on two-sided platform entrepreneurs, for whom early strategic decisions are especially consequential. The central research question that guides our study is: *How do entrepreneurs sequence and pace their early strategic choices to prepare for rapid scaling of two-sided platforms?* In the next section, we describe the methodological approach of our empirical study before laying out the findings.

METHODS

We use a multiple-case, inductive method to extend theory about sequencing and pacing pre-scale strategic decisions in two-sided markets (Eisenhardt, 1989). This method is appropriate for research questions that address a longitudinal process such as ours and for which current theory does not suffice (Eisenhardt, Graebner, & Sonenshein, 2016). Multiple cases enable replication logic with each case serving to confirm, or not, the inferences drawn from the others. Multiple cases typically yield more robust and generalizable theory than single cases (Eisenhardt & Graebner, 2007).

Our research sample is eight two-sided platform ventures (Table 1). Given our aim of understanding how organizational actors sequence and pace decisions while forming strategy, we employed a longitudinal design that comprehensively tracks the strategic decisions, actions, and learning of entrepreneurs during their ventures' adolescent years – from founding until the ventures achieved accelerated growth (i.e., scaling), typically 3-7 years after founding (Appendix Figure A1).

<INSERT TABLE 1 HERE>

A key strength of our study is its combination of field and archival cases, combining depth and breadth, respectively. The three field cases were selected from a broader set of cases used in a separate study on strategy formation processes (citation withheld to preserve anonymity). For the three field cases, we selected early-stage two-sided platform ventures (i.e., Seed or Series A financing) which helped to ensure that the ventures had a promising opportunity but were not yet organizationally or strategically ready to scale.

We selected firms in several distinct sectors (i.e., culinary experiences, home services, and parking) to increase the generalizability of our theory. We focused on relatively high-performing firms because our objective was to understand variation in how successful platform ventures sequence and pace strategic decisions during adolescence. In the previous study (citation withheld to preserve anonymity), we compared successful and unsuccessful ventures and found that poor-performing firms generally failed not because they focused on the wrong strategic domain at a particular point in time, but because they struggle to maintain focus altogether, frequently shifting attention across multiple domains before resolving critical uncertainties. As a result, these firms did not provide meaningful variation in sequencing choices. In contrast, the successful ventures exhibited a similar high-level strategy formation process, yet differed substantially in the specific sequence through which they addressed product, supply, demand, and geography. This observation suggested the presence of equifinality: multiple pathways to successful scaling. The goal of the present study is therefore not to explain success versus failure, but rather to unpack variation among successful firms and understand how different types of two-sided platforms arrive at scalable growth through different sequences of decisions. Prior research has shown that focusing on relatively high-performing cases to explore such equifinality (Volmar & Eisenhardt, 2025) can generate a more precise and elaborated process theory. Importantly, however, these firms were not uniformly successful throughout their histories. Each experienced failed initiatives, strategic mistakes, stalled growth periods, and abandoned paths that threatened progress toward scaling. These episodes proved particularly valuable for theory building because they revealed the consequences of alternative choices and highlighted the constraints and tradeoffs associated with different sequencing approaches. Thus, while the firms ultimately achieved accelerated growth, their histories contain substantial variation in both successful and unsuccessful actions, allowing us to observe not only what entrepreneurs did, but also what they tried or abandoned along the way.

We then added five archival cases to supplement the in-depth field cases. They are Airbnb (home-sharing), OpenTable (dining), Udacity (education), Lyft (ridesharing), and Etsy (crafts). These serve to add replication and breadth, particularly in market type, to our data. We chose these ventures because they have rich publicly available data and participate in a variety of sectors, adding to the generalizability of our theory. The fact that they are easily recognized platforms also helps the reader understand our deep cases in a way that is not possible for the confidential cases because many people will have personal experience or knowledge with the firms. Although these firms may be longer lived and more successful than many, a sufficient history was necessary to understand the temporal flow of the strategic decision process. This requirement outweighed any advantage of a random sample, especially for a process-focused, theory-building study. As above, each of these archival cases exhibited errors such as failed actions and major mistakes that bring useful insights to our theory building study.

Data Collection

For the field cases, we used several data sources: (1) interviews with the top management team (TMT), (2) interviews with other informants significantly involved in strategic decision-making, (3) informal emails and phone calls to clarify details, and (4) archival materials including business media and internet sources. We triangulate across these various data sources to create more accurate measures (Jick, 1979). Our first step was to collect archival material (e.g. press, etc.) on all firms from inception to present using sites like LexisNexis, Factiva, Crunchbase and company websites.

The main source of data for each firm is 60- to 90-minute interviews. Our longitudinal research design is a key strength of this study. We conducted four (4) waves of interviews and other data collection over approximately four (4) years. This affords us a more accurate monitoring of strategic decision-making as it happens and before the impacts of decisions are known. We first interviewed the founders at each focal firm. We next asked each founder to identify other key informants involved in strategic decision-making so we could include all relevant actors. We thus interviewed each of the small number of actors who had substantial involvement in decision-making and were vital to strategy formation at these firms. In the initial interview, we asked informants to tell the firm history since founding with a focus on key decisions (including ones considered but not taken) and actions. Later, we obtained three more waves of interviews with the informants most involved in strategy formation, normally the CEO. These interviews focused on the recent history of the firm, related actions, and decisions. We took steps to address data reliability and validity: we triangulated data and informants, used non-directive questioning, and guaranteed anonymity. This approach of collecting data from multiple sources at multiple times leads to a richer and more reliable base from which to build theory for a longitudinal process.

For the archival cases, we collected material on each firm from a variety of sources including LexisNexis, Factiva, Crunchbase, and YouTube. This resulted in 180 to 700 articles for each venture where the venture was the primary focus of the article. Blogs and recorded interviews with founders provided a particularly rich source of contemporaneous data on strategy formation. When searching for such interviews we began with the founders as with the cases above. We could not find interviews with each founder in every case, but we did find at least one interview from multiple founders in each. We then expanded our search beyond the founders to include investors and other early executives. For instance, Etsy had three CEOs over their first five years, and we found interviews with all of them. This data is more retrospective than our field cases, however for all but one firm we found interviews within two years of founding and many more within the "adolescent" timeframe. OpenTable is the one exception, as they were founded earlier (1998) than the other firms and archival interviews are harder to come by pre-dotcom boom. However, we were able to find interviews from the founder, COO, and CTO within three years of when they really began to scale (~2004), which is within the timeframe that we can expect increased accuracy in the recall of events (Bingham & Eisenhardt, 2011; Huber & Power, 1985). We then supplemented these data with a few primary interviews with founders, investors, and other experts to clarify reasoning, identify paths not chosen, and create a more comprehensive, accurate history of each firm.

Data Analysis

Following a typical approach for theory-building from multiple cases (Eisenhardt, 1989; Eisenhardt et al., 2016), we began by preparing detailed case histories for each firm. For both type of cases, we triangulated data from multiple informants and sources. We analyzed each case successively in relation to our research question, examining how executives organized decision-making in the strategy formation process. A second researcher reviewed the interviews, archival data and the cases to form an independent view of the history, major constructs, and patterns of strategic decision-making. The resulting case histories for each venture ranged from 50 to 70 single-spaced pages.

As we progressed, we found that identifying individual strategic decisions and examining how they fit into a larger sequencing pattern was central to understanding how they set up for scale during "adolescence." Consistent with prior work (Ott & Eisenhardt, 2020), we also tracked decisions, learning, and actions across four strategic domains: *product* (i.e. platform offering focal good/ service between the two sides), *supply* (i.e. side of the market providing focal good/ service), *demand* (i.e. side of the market buying focal good/ service), and *geography* (i.e. location where good/ service is available). For instance, whom to target as a demographic for supplying a parking spot is a decision in the supply domain while whether to use a general manager or not to launch a new city is in the geography domain.

We then did cross-case analysis. We checked for replicated constructs and themes by comparing how sequencing, pace, and content in one case were similar and different from other cases (Eisenhardt & Graebner, 2007). We used tables, charts, and other devices to enhance this comparison (Miles, Huberman, & Saldana 2014). We also iterated through different combinations of paired comparisons to eliminate preconceived groupings and generate new insights. Beginning with our three deep cases, we used emerging patterns to form tentative theoretical constructs and arguments, then refined them with replication logic, revisiting the data to resolve discrepancies. As others have pointed out, iterating between theory and data helped us to be precise in our construct definitions and increase the generalizability of our theoretical arguments (Eisenhardt & Graebner, 2007). As a framework for a theory emerged from the data, we then added comparisons to related literature to sharpen our constructs, relationships among them, and logic of the theoretical arguments. We developed the emergent theory below.

EMERGENT FRAMEWORK

Entrepreneurs hoping to start platforms need to make many decisions to link activities together across strategic domains in order to activate the flywheel of network effects for rapid scaling. Below, we introduce a framework which details how entrepreneurs can better navigate critical decisions in this "adolescence" period between when they initially test their ideas and activate network effects to scale quickly and sustainably. Scholars have observed that there are some commonalities in designing these markets, however, pieces of the solution often depend on the details of the marketplace (e.g., Roth, 2015). As such, our framework unpacks the sequence of decisions, the content of what they need to decide in each domain, and when the pace of “maturation” can be sped up based on the characteristics of the marketplace. Our data indicate that this sequential process allows platform entrepreneurs to move beyond the “chicken or the egg” dilemma, fitting together activities across domains into a complex strategy that will help kickstart network effects and allow rapid scaling. Next, we describe this pattern (Figure 1) in detail.

<INSERT FIGURE 1 HERE>

<INSERT TABLE 2 HERE>

1. Product Completeness: How Much of the Product to Build When

The popular and academic literatures on “Lean startup” emphasize developing minimum viable products (MVPs) to generate rapid feedback while conserving resources (Ries, 2011; Eisenmann, Ries, & Dillard, 2012). This perspective highlights the value of early experimentation and iterative refinement, but tends to assume that minimal functionality is sufficient to test core assumptions. More recent work has begun to question this assumption by showing that oversimplification can constrain learning, with some tests only being possible after larger commitments are made (Gans, Stern, & Wu, 2019; McDonald & Eisenhardt, 2020; Ott & Eisenhardt, 2020).

Our data show that entrepreneurs building new two-sided markets do not just need a basic product to put in front of customers, they need an instantiation for each domain of their strategy in order to determine if someone in the marketplace will pay for access. This is critical because it validates the idea and then serves as a cognitive draft of the whole activity system. It sets the stage for the many interdependent decisions that will need to be made to prepare the flywheel of network effects. Later, firms need to introduce more automation into their product to help handle the rapid growth that will come with scaling.

All our platform founders eventually built a more automated interface for the product (i.e., full functionality, automated online platform). However, the timing of when to move beyond an

MVP to a more complete product varied. Studies show that more automation earlier can lead to premature lock-in (McDonald & Eisenhardt, 2020) but staying minimal too long can lead to congestion in the marketplace as the firm grows (Cusumano, Gawer, and Yoffie, 2019). How long the platform ventures in our sample could operate with manual intervention instead of automation was contingent on the *time-sensitivity* of the matches being made on the platform (See Appendix Table A2). We coded time-sensitivity as high when demand expected an immediate result and low when demand got the same or similar value without immediately confirmed matches.

When the offering was less time-sensitive, firms like HomeChef or QuickPaint could get by with a simple platform and manual intervention in matching. They delayed building a complete platform to remain flexible to new insights while they made decisions in other domains. HomeChef serves as a good example of how *lower time-sensitivity* allows for operating longer with a minimum viable product and manual intervention. Its founders were passionate foodies who saw the opportunity to build a two-sided platform that connected local hosts in tourist destinations (sellers) who could provide authentic culinary experiences to travelers (buyers). To start, they set the stage by quickly assembling a simple "hacked together WordPress site" (product). Using this site, they reached out to family connections in several Asian countries (geography) to serve as initial hosts (supply). They then approached friends they knew were travelers to test the service (buyers).

Travelers were often booking months ahead (not time-sensitive), which meant the product did not need to be tightly integrated with hosts. Travelers submitted their travel dates and preferences onto the website. In a day or two, HomeChef responded by manually making matches, and emailing details to hosts and travelers. A co-founder explained, "y*ou would fill out a form and then we would help to curate the experience and match you with a host that met your needs."* With this rudimentary product in hand, the founders then focused on supply. Only two years later, after focusing on supply and geographies, did the HomeChef founders decide that the platform needed greater functionality. As a co-founder explained, *"Now that we're at a different stage where we are handling a lot more travelers we realize that we have to automate a lot more about the website and the user experience. So we're now building another website."*

Lyft, from our archival cases, illustrates *high time-sensitivity* and the need to build a complete product early. Lyft founders started their San Francisco-based ride-sharing firm in 2012. Lyft riders expected to get a car at least as quickly as they could get taxis. So the founders set a target response time of three minutes, which required a high level of coordination between Lyft and drivers. Given this high time-sensitivity, the team started by building a complete product including a fully automated platform. They also incorporated new technologies to make their platform work seamlessly, and so provide a superior experience for drivers (sellers) and riders (buyers). An investor noted, "*Lyft was really fast in building it [online platform], launching the beta, and then putting it into the public's hands."*

EasyPark is a good example of what can happen if time-sensitive marketplaces do not build a complete product early. The founder started EasyPark to ease parking in densely populated cities by connecting drivers (buyers) with parking space owners (sellers). He began by focusing on developing a mobile platform (product). He recognized early on that people needed parking immediately, making the matching process extremely time-sensitive. As the CEO said,

> "*Someone's driving around the city saying, "I'm not paying $30 an hour to park in this garage. What else can I do?" And they go on their app and they find a spot right near them, and they need to be able to do that in 15 seconds or less.*"

At the same time, he was very worried about being too late to market saying, "*I needed to be first to market no matter what. So we were.*" The team rushed into trying to build supply and demand with an incomplete product that did not automatically handle many use cases or issues that might crop up. An executive described,

> "*Parking spaces are more complex than they appear to be on the surface, a lot can go wrong, and the scheduling is a lot more complex. People run late, snow happens, people wanna book by the hour, a week, month, day, there's many more variations in what the app needs to support... This can't be an app that needs a lot of human intervention to rent a parking spot.*"

This led to EasyPark having to field user questions in real time, constantly trying to put out fires and often issuing refunds for the app not working as intended. This manual intervention in a very time-sensitive transaction held the team up and interrupted other growth-related decisions. As one executive pointed out. "*Trying to balance the customer support, customer hand-holding, all of that side of things with wanting to expand and develop new business really came to be a little conflicting.*" Another executive lamented, *"the product that was in the market was not serving [the founder] very well, it was working but not working well enough. Would not have allowed him to scale."* The CEO similarly realized, *"There's no possible way that I see us scaling with the current app."* Eventually, the founder paused all other activities and focused solely on fixing the product, which took over six months. With a mostly complete platform in place (i.e., a few non-essential features left for later), the team shifted their focus back to supply decisions.

In sum, all our sample firms unsurprisingly needed to build a MVP to initially test their marketplace. However, the product they needed to build to prove that there was a market was not robust enough to scale and how critical it was to improve on this "minimum" product varied. Our data show that how much the entrepreneurs needed to automate their product was dependent on the time-sensitivity of the matching on the two-sided market. Our analysis suggests that founders of less time-sensitive markets were better off addressing basic functionality with a simple product platform early on and delaying a complete product. This approach allowed the founders to first focus on decisions within other domains without over-investing in the wrong product. Founders with more time-sensitive offerings needed to focus on completing the product sooner because these marketplaces required greater real-time coordination and higher levels of integration with suppliers.

2. Resolving the Chicken or Egg Problem - Focusing on Suppliers First

Classic platform research would suggest that platforms grow *both* sides of the market by subsidizing the side which derives more value from the interaction and letting network effects take over (Rochet & Tirole, 2003). However, in many such markets, prices cannot do all the work as subsidies alone are not enough to make *thick markets* with a sufficiently large pool of participants to make valuable matches likely (Roth, 2015). Moreover, prior work on entrepreneurial strategy formation has established that startups with limited cognitive resources struggle when they juggle multiple domains at once (Ozcan and Eisenhardt, 2009; McDonald & Eisenhardt, 2020; Ott & Eisenhardt, 2020). In a study comparing successful and unsuccessful platform ventures (citation withheld to preserve anonymity), the authors found that platforms typically failed because they oscillated across domains or treated supply and demand as a single "user" category. This is because merging supply and demand completely clouds key elements of the decisions and obfuscates differences in how to approach and retain each side differently, which can delay growth. This prior work helps us to take the benefits of sequencing as established.

Building on this foundation, our data suggest that most, if not all, entrepreneurs saw more success designing the *supply side* of the platform first. Before they could jumpstart network effects, all our focal firms needed to a) detect high quality suppliers and, b) decide how to recruit and retain them over time. Firms that tried to focus on demand without going through this process suffered from low quality transactions and poor customer experience. We further observed that this supplier discovery process did not require the same amount of time and type of effort for all types of platforms. Our data show that those that targeted *professionals* (i.e., experienced sellers) as suppliers (e.g., Etsy, QuickPaint) could speed up the decision process for detecting, attracting and retaining high quality suppliers while firms that targeted *peers* (i.e., amateur/inexperienced sellers) like HomeChef or EasyPark needed more time (See Appendix Table A3).

A good example of discovering supply with *professionals* is QuickPaint. QuickPaint began in New York City in 2012 when the founders saw an opportunity to match professional painters (sellers) with homeowners (buyers) using an innovative platform that provided quick and accurate online quotes for paint jobs (product). The CEO explained, *"We really wanted to enable a quoting system where you can come to our site, enter some basic information and receive a binding quote online, which nobody else is doing."*

QuickPaint founders set the stage for their marketplace by lining up a few customers from a prior cleaning business as the initial demand (buyers), hiring a few professional painters from Craigslist to test out the platform (sellers), and postponing decisions about geography by staying only in NYC (geography). They developed a simple platform with a quote engine algorithm (product). The platform required manual performance of most tasks; "*Everything was done through e-mail*" (CTO). Once the quote engine provided accurate and transparent costs, they moved to focus fully on making choices about supply (before demand).

The founders initially assumed that supply would be difficult to develop, in part because they themselves "*didn't know, really, anything about painting*" (COO). They needed to discover what quality looked like for painters before they could promote their services. But because painters were established professionals, there were recognized criteria for quality that they could leverage. The founders quickly made decisions on supplier quality by using trusted painters to evaluate others rather than using trial and error or other discovery techniques. As the CTO said,

> "*Every painter needs to go on a real job with one of the paint crews that we already know is good. The market is somewhat self-regulating like that. So, if someone is really a bad painter, they won't get the approval of their peers.*"

They also needed to design the platform in a way that would attract and retain quality painters, but this again was unexpectedly fast. Through interactions with professional painters (both in the run of business and purposefully gathering info), they discovered how to recruit and retain quality suppliers (even before there was demand on the platform) through features that brought additional value to suppliers, as below:

"*We deliver supply, we deliver paint to the home, so things like that to the painters. Now they don't have to go to the store, they don't have to figure out how to transport the supplies around. The quoting system, once we got it accurate, the crews no longer had to do walkthroughs… So it just benefited the crews in so many different ways that we saw a lot more interest than we had anticipated from that.*" (Quickpaint CEO)

Word of QuickPaint's advantages spread quickly within the close-knit community of professional painters. As the COO recalled, "*Painters started referring other painters to us. Paint stores started referring painters to us. Benjamin Moore, the paint company, started sending us people*."

Other platforms targeting professionals as suppliers followed a similar pattern where they were able to speed up discovery of quality supply from existing quality standards within the community of professionals. Another example is Etsy, which connects "crafters" of hand-crafted goods (sellers) with consumers (buyers). The founders focused on supply first with a board member noting, "*The way they built the marketplace was that they really focused on crafters."* They quickly discovered quality supply by leveraging the professionals in the space. A board member described:

"*So, they built a bunch of tools on the website that allowed these crafters to not only list the items that they wanted to sell, but also create treasuries, which were curated list of items that they thought were great, and so that in addition to the crafters being the sellers on the site, they were the curators… And so, the treasury thing ... getting the crafters to essentially create their favorite items and create sort of curated lists of it was a pretty important early innovation.*"

Etsy then turned to these high-quality crafters to recruit others and explore their pain-points and desires from an online marketplace. They found that the best recruitment strategy was to subsidize successful crafters to go to craft fairs under Etsy's banner. A board member described, "*The most important thing was creating local teams of Etsy sellers called "Street Teams"…So Etsy would find sellers in Des Moines or St Louis or Chicago, and they [Etsy] would pay for the booth, give them an Etsy banner and they would man the Etsy booth and sell their products".* These "influencers" often brought along their own customers and attracted other crafters. An early Etsy employee described, *"We knew if they [influencers] set up shop on Etsy, and were successful, others would follow"*. They also leveraged the knowledge of these professionals to quickly design how to retain supply. As one founder explained, *"We began to actively participate in the community as we rebuilt it [website] to better understand the needs of its people*." By focusing on the sellers, they were able to build a better online marketplace than eBay, providing a source of learning and inspiration for crafters in addition to selling products. As a board member described, this added value made the platform "sticky" for sellers when the platform later made mistakes with demand:

> "*If they were making a certain kind of ceramic item, you could find other sellers who were doing that and you could talk to them about what materials are you using and whatever. They never saw Etsy as just any commerce site. It was never designed to just be transactional. There was always a desire to be a place that sellers could come and find other sellers and talk to them… They [Etsy] made gazillions of mistakes but none of them were fatal and they were able to survive all of those things because the one thing that really mattered, which was building something for the seller community that they loved and wanted to use trumped all of that.*"

In the above examples, firms targeted professionals as suppliers. Other firms like HomeChef, Lyft, and Airbnb launched markets with *peers* as suppliers. They required substantial experimentation and trial-and-error to figure out how to recruit, train, and retain high-quality sellers. An example is HomeChef, a travel platform that first focused, like the others, on making decisions about the supply side of their marketplace. As one founder explained,

> *"It is a two sided market place… we do need hosts and travelers to make this work . Again and again we were hearing the same things: you have to start on the supply side of the marketplace. You can't get any travelers unless you have great hosts. So we really focused on that first."*

It took HomeChef founders 18 months of trial-and-error to figure out how to find, train, and retain hosts (suppliers). There was no existing market, so they had to start from scratch to decide what would make a great host. Initially, the founders believed that the ideal hosts were rural women whose lives could be improved by hosting for HomeChef. They went to vet a few hosts personally, saying "*Specifically, we really wanted to not just grow the host pool but to make sure we had incredibly high quality hosts that we knew really well.*" Doing so, they discovered that women in low-income rural areas of Asia rarely spoke English, and often lacked Internet access. They could not possibly provide quality experiences to tourists. As one cofounder explained,

"*I would say the main requirements are... they do have to speak a little bit of English, they have to have regular access to the Internet, and they have to be willing to set up a payment account like PayPal. So those are limiting operational requirements."*

In addition, they discovered that intangible aspects such as the stories told by the host were an important element of the experience they wanted to provide. As a co-founder said,

"*The food matters, but the stories behind the food matter too. Are they cooking their grandmother's recipe and telling you about it? Do they have a natural inclination to share with you what they love about food? Are they passionate about food and about why you're in their home?*"

The founders decided that gauging this type of quality meant that vetting and training of hosts had to be done all in person. After doing it themselves, and realizing how much time it took, they began exploring other ways such as volunteer ambassadors who got free experiences in exchange for vetting new hosts. But selecting these ambassadors also required vetting and training:

"*So we had to make sure I spoke with the traveler and try to understand what their background is with food, what their tastes are like, how sophisticated they are in terms of what is delicious food and what isn't and what sort of experiences they were expecting. So we did a significant amount of training with this one ambassador and realized that there are a lot of people like this. You know people actually came up to us and said 'hey, we'd love to do this for you.' They get a free meal and give us their opinion in exchange.*" (HomeChef Cofounder)

Keeping hosts engaged on the platform with no travelers (demand) present was harder for these firms compared to those targeting professionals. Unlike professionals who had other channels to make sales, these amateur hosts could not just provide services elsewhere and wait. HomeChef had to create seller stickiness through a community instead, keeping hosts engaged when travelers were not coming. A cofounder explained:

"*We are really honest with our hosts and let them know that we really value them being a part of the community. We try and involve them in other ways if they're feeling left out by asking for their recipes, so that we can share them on our blog and things like that…They [hosts] get so happy when we say that we're featuring them [in media], they're often the people who are commenting the most on our site, you know sharing them.*"

Our archival data show that Airbnb followed a similar path. The founders began in 2007 by renting air mattresses in their San Francisco apartment to convention goers. When their idea worked, they built a website for transactions (product) and attempted to recruit hosts and guests simultaneously in multiple cities, first around conventions and then for tourism more generally. But while they had success with early adopters, growth became flat with "*only a couple of customers a day*" (CEO) for a year. A turning point came when the founders enrolled in Y-Combinator where a mentor advised them to go to where transactions were happening (New York City) and get "*100 people to love you*". As the CEO explained, *"We would fly during Y Combinator from Mountain View to New York and we would go door to door and meet with every one of our hosts and literally live with them"* (Stanford class).

During their stays with hosts in NYC, the founders realized hosts with multiple properties like apartment owners and property groups, were not the right fit to help build Airbnb. As a co-founder noted, *"They had no pride, these power sellers, and our engineers spent six months developing tools for the wrong kind of person"*. Instead, the team decided that hosts needed to "*always offer local touches".* They also realized that their hosts needed training to ensure high-quality listings. One problem was that the hosts often took poor photographs. So the team decided to rent a camera and took photos themselves during interviews. The CPO recounted,

"*The hosts didn't have very good direction on how to take good photos. So we actually went throughout New York City, met all 50 of our hosts and took photos of their apartments for them for* *free… It set the standard of quality on the site. New hosts would see the marketplace and go, 'oh, I guess I need good photos.' …Through taking photos we got to sit down in the living room and talk and listen to the problems and iterate the product.* " (YourStory interview)

Airbnb decided to offer free professional photos for all listings to help scale quality hosts. Like HomeChef, Airbnb founders spent a significant amount of time on the quality and training of suppliers on their platform.

The above examples show the critical decisions platforms needed to make about supply, and how marketplace characteristics affected the decisions regarding suppliers and the pace of the decision making. Our data show that decisions about detecting, attracting and retaining high quality suppliers are critical, and can happen faster on platforms that target professionals as opposed to peers or amateur sellers. This is because professionals have established standards for quality that new markets can adopt, whereas with peers the platform needs to develop these from scratch.

Additionally, our data give us insight into why sequencing supply before demand is important for many platforms. First, sellers are more integral in determining the cost structure and the service level. As an investor summarized, *"Supply is what really drives the dynamics of a marketplace."* This is because sellers are influential regarding unit costs. For example, if sellers have to travel far to provide a service (e.g., low supply density), the unit costs of supply become too high to attract buyers en masse. In contrast, although buyers may have acquisition costs, they usually have less influence over the unit economics of the marketplace. Sellers are also often integral to providing the adequate level of service. They are more entwined in the operations and even the brand. As one executive explained, *"Sellers are often important business partners of marketplace companies."* Building on prior work that suggested that focusing early on unit economics is critical for setting the stage for later growth (Tidhar et al., 2025), we show how decisions around quality of supply are critical to do that.

A second reason why it makes sense to first focus on sellers is that firms can more easily create "stickiness" for sellers than for buyers. In the adolescent period while platforms are setting up to scale, the market may be relatively thin, and matches infrequent, for at least one side. Sellers are more inclined to wait in the marketplace for buyers than vice versa. As others have shown, firms can increase the "stickiness" of the platform for sellers with tactics such as financial (i.e. price subsidies) incentives (Hagiu, 2009) like Lyft subsidized its drivers (sellers) by paying them an hourly wage to be "on call". But our data show that firms also developed other (non-pricing) strategies to keep sellers engaged, with these tactics being contingent on the type of seller, i.e., professionals versus amateurs.

Relatedly, the suppliers are more likely to be a long-term bottleneck of the market. Others have shown that forming strategy around key bottlenecks in an industry is often a way for entrepreneurs to win (Hannah & Eisenhardt, 2018). We see that as entrepreneurs navigate the adolescence of their marketplace, supply tends to be more of the bottleneck because the experience on the marketplace is likely to suffer when demand outpaces supply. James Reinhart, the co-founder of Thred-up, anecdotally explained this dynamic, saying,

> "*I think you have to figure out what the real long-term constraint in the marketplace is going to be and spend all your time solving that… in any marketplace, one side is going to be more constrained than the other.. And generally speaking, this isn't always true, but generally speaking supply is the constraint.. And so if you can crack supply or rack a new way to bring supply online in any market chances are, like you're gonna have an opportunity to win.*" (Stanford eCorner)

3. Resolving the Chicken or Egg Problem - Focusing on Demand Growth after Supply

In many cases, platform founders focused on demand decisions right after supply due to the tight integration needed between the two domains in two-sided markets[1]. They needed to figure out how

[1] There were cases in our data where decisions around product and geographies needed to be made first before demand could be tested at scale. In those cases, firms delayed decisions about how to attract customers at scale until later. These are discussed in the Product Completeness and Geographic Expansion Sections.

to attract customers without incurring high costs in order to activate network effects and scale. We found that ventures could speed up the pace of decision-making around demand if customers were expected to use the platform's service *frequently* as opposed to for one-off experiences or services. Firms with high frequency use cases like EasyPark, OpenTable, and Lyft were able to easily market to wide swaths of customers and, as a result, decide how best to scale to mass market users more quickly. Firms with lower frequency use cases like HomeChef and QuickPaint had to spend more time to figure out how to reach customers, when to make offers, how long to keep them open, etc. (see Appendix Table A4).

EasyPark is an example with *high expected frequency* customers. The founder started EasyPark to ease parking in densely populated cities by connecting drivers (buyers) with parking space owners (sellers). Reaching parking space owners was somewhat slow and the platform (product) took time to build. Once the team had a working platform and a process for adding parking spaces, they turned to word-of-mouth marketing and a few cheap ads on social media. Since EasyPark was solving a frequent problem (i.e., searching for parking in a crowded city), the market was organically relatively thick. Individual customers served as repeated experiments. They quickly figured out local media coverage and how to attract drivers. This, in turn, activated same-side network effects and allowed the platform to grow demand quickly in local markets. As a local TV station promoted, "*EasyPark is catching fire.*"

Lyft, is another example where attracting buyers came quickly because of the high frequency of the use case. Lyft solved a clear, frequent problem for riders. An investor described the clear use case for Lyft, *"Demand was actually the easiest piece…So for us, the demand side was never a problem…Lyft was so well-understood. So, you didn't really have to explain it."* The founders could quickly make decisions about scaling demand because repeat customers and word-of-mouth marketing thickened the market enough to have consistent transactions. As an observer summarized, "*It was sudden, it was real word-of-mouth… It was a real fast start.*"

In contrast, firms like QuickPaint and HomeChef had a *low expected frequency* use case, making it more difficult, and slower, to attract demand. For QuickPaint, as per above, attracting painters and building a platform were fairly easy. However, it required significant time to figure out customers and how to time the offering. The COO explained,

"We didn't know who we were going after, at first. We just thought, 'Okay, there's painting. Everybody needs painting. Let's go after everybody.' We didn't realize all the subsets of painting. We honestly didn't do enough work to realize how a lot of people consume painting services."

The founders initially targeted homeowners and had some success. But since homeowners infrequently need painting, demand was non-recurring and difficult to keep high. The COO reflected, *"Customers don't come back for a second or third job. So every month, the slate's wiped clean. You have to start over."* The founders decided that they needed repeat customers like building owners, decorators, and general contractors, and successfully tried direct sales to those parties. The CEO recalled, *"We experimented by hiring a salesperson, an outside sales rep who had painting industry experience to target these third party businesses representing the customer. We saw immediate success."* The founders had a second breakthrough when they decided that a major paint manufacturer with a national retail presence could provide recurring customer flow. They made a deal to use this company's paint, and gain access to its retail customers. These moves gave QuickPaint a viable demand growth strategy, but this took significant time.

Another example is HomeChef. As per above, the founders sought to link travelers who wanted authentic cultural experiences with locals who would cook meals in their homes. They spent about two years on hosts and automating their platform. During this time, they used friends, tour operators, and word of mouth from evangelist customers to provide early demand to gather information on hosts. But friends were not scalable, upscale tour clients were a relatively small set of travelers, and word of mouth did not work as well because most people booked travel so infrequently. The founders had to figure out how to time the offering to get in front of customers at the point they were ready to travel. The Co-CEOs explained separately:

"*I don't think that we could get to 10X travelers or 100X travelers without really changing how we think about getting customers."*

"For us, we have to be in the top of their minds at the right time when they are traveling. Because not everyone is traveling at the same time and we're only in a few specific countries, its a tougher problem to solve."

They had some failed experiments with social media (e.g., Google AdWords). One Co-CEO explained, *"We were competing directly with restaurants and some hotels with experiences, and that's not where we should have been because it's so expensive to compete with those guys."* They had success with partnerships, but figuring out who the right partners were took time, as below:

"*One thing that's definitely important is trying to find [a partner] who's the right size… So, is it someone who is serving our market, which is largely Western travelers and US and European travelers who are going to Asia. So, certainly, we need people who are serving those travelers. And then, what scale, how many travelers are they serving? And then, of course, what the business model would look like. Are they taking a fee as most of them are, some kind of referral fee or something like that but what does the actual partnership look like?*" (Co-CEO)

The founders at HomeChef eventually figured out how to reach travelers at the right time at scale through partners and consolidated their lessons into simple rules like *"focus on relationship building"* so that large partners stay engaged. The low frequency use of their service created a relatively thin marketplace that necessitated a slower pace of decision-making around buyers.

Overall, all platform ventures in our sample needed to spend time understanding how to build demand in the marketplace, including who growth customers were, what they valued, and how best to acquire them. However, they could speed up the pace of these decisions about demand, if their marketplace involved services of high repeat frequency. Such markets provided founders enough information quickly to find the right customers and the best way to attract them. In markets with low expected frequency, like painting or travel, founders needed more time to figure out demand because each new transaction required them to acquire another customer, or wait for an existing customer to come back after a long delay. In addition, these founders needed to figure out the right timing and channels that would get their offering in front of demand at the time of their purchasing decision, as it was not a service customers thought about frequently.

Our paper shows that demand decisions can and should be sequenced after supply, and often after other domains as well. In addition to what we theorized above on focusing on supply first, this section shows that decisions about demand during adolescence are not about proving that demand exists – the firms have done that already. These decisions are about expanding beyond early adopters. Oftentimes, this means building a complete platform and a large pool of high quality suppliers prior to trying to get large masses of (less adventurous) customers to buy in and come back. Negative experiences at this point might cause negative network effects (Cusumano, Gawer, & Yoffie, 2019), amplifying weaknesses and stalling growth entirely. This further supports the idea that understanding how to build demand in the marketplace should best come after figuring out how to attract and retain high quality suppliers.

4. When to Focus on Geographic Expansion

Geography was another important puzzle to solve for many platform founders. Despite our expectations, we did not find that geographic (scope) expansion always came last in the series of decisions necessary for scaling. When founders needed to focus on geography varied, first based on the *importance of local thickness* in the market, and second, based on whether demand valued *variety across geographies* (See Appendix Table A5). Below we lay out these factors and how they affected scaling decisions.

Starting with the simplest case, in markets where supply and demand did not value local thickness (e.g. Etsy and Udacity), geography was not a crucial element for success in scaling the business. In other words, proximity of supply to demand did not matter for cross-side network effects. For instance, Etsy sellers did not care if their buyers were nearby because they could just charge more for shipping. In fact, being able to buy/sell globally was a selling point. An Etsy investor explained how they could be global without much effort,

> "*It's always been the case that you can sell from anywhere in the world-so they had seller communities from around the world for a long time. And then, in order to get the buyer communities going they localized the site in various languages.*"

In many two-sided markets, however, founders needed to make decisions about geographic expansion sometime after figuring out supply and demand in their first location. This was because supply was dependent on the proximity of demand, and adjustments needed to be made for new locations in order to build thick, local markets. QuickPaint illustrates a marketplace where local thickness mattered - painters needed to be near jobs. Believing they figured out supply and demand in NYC, QuickPaint founders expanded to San Francisco next. This first city to expand to was not necessarily chosen based on similarity to NYC, but rather due to the high concentration of investors. An initial struggle to build traction made them realize that SF was actually quite different than NYC and they needed to be more thoughtful in future expansion. The founders formed some simple decision rules for how to choose and be more efficient at launching cities: pick affluent cities with lots of offices and tech savvy people, and look for high rates of construction. They also made decisions about how to enter future cities. For example, a general manager approach to expansion worked, especially if the GM was a local but went to NYC for training. Lastly, they figured out that they needed to calculate the critical mass of painters needed based on density of housing/offices and not on the size of the geographic area. In summary, Quickpaint founders used San Francisco to figure out which differences between cities mattered for their business, in order to decide how to launch in new geographies faster. The CEO explained,

> "*Yeah, so it's structural and then tiered pricing, so, different prices by market as well. It's not gonna cost the same in every single market... Some cities are more public transportation, so a lot of the paint companies take public transportation, others drive vans, or go on trucks around, so. We have to figure out that piece as part of our backend.*"

After San Francisco, Quickpaint rapidly scaled to over 10 cities in a year.

Our data show that when executives sequenced expanding geographically too early (i.e. before figuring out supply and demand in a city) or without a focus on understanding differences between geographies, there is too much change, or even chaos. For example, OpenTable started in Chicago and San Francisco where they developed a reasonably complete product and supply strategy focused on influencer-restaurants. Pushed to "get big fast" by investors, the founders then added 800 restaurants in 17 cities without much thought into which cities to enter and how to organize them. The founder noted, "*It was this sort of tension of growing as fast as you can and sort of hoping that the revenue would come in*". But there were too few restaurants in each city to attract diners and too much administrative overhead in each city to be profitable. OpenTable was spending $1 million but only taking in about $100,000 per month (Atal, 2009). The turning point came when a new CEO slashed the number of cities to four and refocused on figuring out the critical mass of restaurants needed to attract diners and differences in the supply and demand from city to city. A key insight was that buyers started using OpenTable after the first few hundred restaurants in a city joined the platform. The founder noted, "Getting this next 200 or 300 restaurants, below the top 70 or 80 restaurants is when the diner would come to the site and you'd see our conversion numbers increase". Only after understanding what drove demand in new cities and building their current cities into thick (i.e., liquid) markets, could the team turn to adding additional cities.

In other types of marketplaces, however, focusing on geography is more urgent and cannot wait until after figuring out supply and demand in the first location. Specifically, in two-sided markets where demand values variety across geographies, firms need to understand geography as a precursor to understanding demand. In our sample, we coded the *value of geographic variety* as high when operating in a variety of geographies increased the network effects for the average customer. This was mostly relevant for travel platforms. HomeChef serves as an example. The founders realized early on that trying home cooked meals is largely a tourist activity and therefore, much less sought after in less touristy cities. In addition, being able to try a home cooked meal in a variety of cities on a trip increased the willingness of an average customer to be part of the market.

As described above, the founders first focused on hosts (suppliers) while having a reliable, but largely manual platform and primarily having the clients of tour operators as travelers. They knew they still needed to figure out demand, but they believed they could do it more effectively if they had variety in destinations to attract travelers. One founder said, "*We wanted to make sure, especially as we're doing experiments in marketing, we had some of the cities covered that are major tourist destinations*." As part of this process, HomeChef needed to understand differences between locations. They travelled to various Asian locations and saw that not all locations would work well for their marketplace. Traditional locations like Luang Prabang and Ubud were prime locations because they fit with HomeChef's emphasis on authentic experiences. In contrast, party locations like the Bali beaches and Phuket were out. They also saw that they could more efficiently launch cities by understanding and linking to typical travel routes of tourists across countries. As one founder said, "*It makes sense because a lot of travelers who go to India and especially southern India also go to Sri Lanka. It's an inexpensive flight and a new country that people can cross off their list.*" Over the course of six months, HomeChef successfully went from having hosts in a few cities in 3 countries to having hosts in 35 cities in 14 countries, before focusing on how to scale the demand side of the marketplace.

Overall, our data show that platform founders needed to focus on geography with varying urgency depending on the importance of local thickness for network effects in each market, and second, based on the value of geographic variety of supply for demand. In both cases, firms needed to understand differences between geographies in order to activate network effects in multiple locations. We find that when geography becomes part of platform design is dependent on the nature of network effects for the nascent market. Prior research shows that not all network effects are the same (Karhu, Heiskala, Ritala, & Thomas, 2022), and the successful activation of them will depend on market characteristics. We show that if *local market thickness* is important, it is critical to focus on how to launch new geographies efficiently while remaining flexible enough to adapt between them. Moreover, if the platform also depends on a *variety of geographies* to attract demand in the first place, then geography decisions must be sequenced before demand decisions. In such cases geography decisions are more intertwined with supply such that both need to be made to set up for later demand scaling. When this is not the case, decisions about new locations can be the last piece of the puzzle prior to rapid scaling.

DISCUSSION

This study makes two primary theoretical contributions. First, we advance platform strategy research by developing a process-based explanation of how entrepreneurs prepare to activate network effects. We show that the central challenge is not simply to design pricing or governance mechanisms, but to sequence and align interdependent decisions across supply, demand, product, and geography to create the conditions for scalable growth. Second and going beyond platform theory, we contribute to entrepreneurial strategy formation by explaining how founders make decisions around demand and geography as they move from initial traction toward scalable growth.

Together, our findings shift attention from managing network effects at scale to understanding how they are constructed in the pre-scaling, “adolescence”, phase.

For entrepreneurs building two-sided markets, we offer concrete advice on how to sequence and pace decisions through adolescence. While there is no “one-size-fits-all” pathway to successful scale, if entrepreneurs can answer four questions (Figure 1) then they will be able to better structure their decision-making. First, how time-sensitive is the match or transaction of the market? If it is very time-sensitive, then one would likely want to move directly from MVP testing to building out a complete product that automates the offering. Otherwise, one could start with supply instead. Second, is supply going to be professionals or peers? When not targeting experienced sellers one needs to be prepared for decisions about supply (quality, recruitment, retention) to take longer to figure out. Third, how frequent is the use-case for demand? When customers are unlikely to come back frequently (even if one does everything right) then decisions about the timing of the offering and how to scale demand will take more time and effort. Fourth and finally, will demand value variety in geographies among suppliers? If so, then decisions about how to approach each new geography will be more tightly intertwined with supply and will need to be made prior to decisions about demand. These four questions form a roadmap to help entrepreneurs navigate adolescence between initially proving their business is viable to activating network effects to scale rapidly.

Jumpstarting Network Effects

Our primary contribution is to platform strategy research by theorizing how entrepreneurs sequence and pace interdependent decisions to prepare for network effects. Prior work has largely focused on pricing, governance, and competition in established platforms (Rochet & Tirole, 2003; Eisenmann et al., 2006; Tiwana, 2014; Rietveld & Schilling, 2021), offering limited guidance on how ventures reach the conditions under which these mechanisms become effective. While some work has begun to examine platform emergence (Hagiu, 2014; Boudreau, 2012), it remains largely focused on discrete design choices rather than the process through which these choices are discovered and aligned. We show that activating network effects is not a single design problem, but a process of aligning decisions across multiple domains, and over time, in particular sequences.

Specifically, we find that entrepreneurs consistently establish supply before demand, while decisions regarding product completeness and geography are contingent on characteristics of the marketplace. This sequence is not arbitrary. Supply is addressed first because it determines both the quality of interactions and the underlying unit economics of the platform, extending prior work on the importance of participation and incentives (Eisenmann et al., 2006; Hagiu & Wright, 2015). Without reliable and sufficiently dense supply, attracting demand leads to poor user experiences and weakens the potential for network effects to take hold (Cennamo & Santalo, 2013). Our findings thus move beyond the static "chicken-or-egg" framing (Caillaud & Jullien, 2003) by showing that resolving this problem requires ordering decisions across domains, not simply coordinating sides.

We further show that this sequencing logic is shaped by interdependencies across domains. In particular, product completeness becomes critical earlier in markets that require real-time coordination, where incomplete functionality prevents interactions from occurring reliably. This extends platform research that highlights the importance of architecture and governance (Tiwana, 2014; Cusumano et al., 2019) by showing that product completeness is not only a design choice, but a constraint that determines when other strategic decisions can be effectively addressed. In contrast, in less time-sensitive markets, entrepreneurs can delay building a complete product and instead rely on manual processes while focusing on other domains, consistent with work emphasizing the benefits of delaying commitment under uncertainty (McDonald & Eisenhardt, 2020). Similarly, decisions about how to expand geographically become more critical to address early when they are interdependent with supply. In our cases this was most relevant for travel marketplaces, but future research might explore how other types of scope decisions may be interrelated with supply such that they need to be made earlier in the sequence.

Similarly, we identify important variation in how supply is formed. When platforms target professional suppliers, entrepreneurs can leverage existing standards of quality and established practices, allowing them to more rapidly identify and retain high-quality participants. In settings where supply consists of peers rather than professionals, entrepreneurs must actively construct and sustain participation through mechanisms such as community-building, social engagement, and non-pecuniary incentives, which is a slower process. This extends prior work on participant heterogeneity in platforms (Boudreau, 2012; Dushnitsky et al., 2022) by showing that differences in supplier structure affect not only outcomes, but the process of market formation itself.

Taken together, these findings suggest that platform strategy is best understood as the construction of a viable activity system (Zott & Amit, 2010) in which supply, demand, product, and geography are aligned in a sequence that enables consistent, high-quality interactions. Network effects do not emerge from participation alone (Katz & Shapiro, 1994), but from the prior establishment of this configuration.

Entrepreneurial Strategy Formation Beyond Platforms

We also contribute to research on entrepreneurial strategy formation by extending process research to show entrepreneurs can better navigate the “adolescent” time period before scaling. In particular, our findings on demand formation and geographic expansion generalize beyond platforms to a broader set of ventures.

First, we show that the pace at which entrepreneurs can resolve demand-side uncertainty depends on the frequency of customer use. In high-frequency settings, repeated interactions with the same customer provide rapid feedback, allowing entrepreneurs to quickly refine customer acquisition strategies and value propositions. In contrast, low-frequency settings produce sparse and delayed feedback as customers do not return, requiring more extensive experimentation with timing, channels, and intermediaries. This extends research on entrepreneurial experimentation and search (Ott & Eisenhardt, 2020; Ries, 2011) by showing that the speed of resolving demand uncertainty is constrained by the temporal structure of the market, rather than solely by managerial choices.

Second, we show that geographic expansion is not simply a growth decision, but a strategic problem that must be addressed differently depending on the nature of the business. Prior research has examined expansion and scope decisions in new ventures (e.g., Helfat & Lieberman, 2002; McDougall & Oviatt, 2000), but offers limited guidance on how geography interacts with early-stage strategy formation. We show that when local density is critical, entrepreneurs must first establish viable local markets before expanding, consistent with work on market thickness and congestion (Roth, 2015). Moreover, when value increases with variety across locations as well, geographic expansion becomes part of setting up for demand expansion and must be addressed earlier. These findings extend research on expansion strategy by showing that geography can function either as a scaling dimension or as a core design element.

Lastly, we link our findings to the literature on venture legitimacy, market disruption, and new market creation. The distinction we draw between professional and peer supply can also be framed in terms of whether the entrepreneur is disrupting an existing market through intermediation or constructing a new market entirely. The market for hiring painters, for example, was already well established, and QuickPaint sought to improve its functioning through intermediation. By contrast, no established market existed for short-term accommodation in private homes or for in-home meals beyond limited activity on Craigslist, and Airbnb and HomeChef therefore set out to create such markets. Prior work suggests that entrepreneurs forming new markets must engage in substantial legitimacy work to convince stakeholders to participate, often avoiding direct competition in order to focus on the emergence of the market as a whole (e.g., McDonald & Eisenhardt, 2020; Navis & Glynn, 2010). Our findings suggest that, for novel two-sided markets, part of this legitimacy work involves defining what constitutes quality on the supply side and developing mechanisms to recruit and retain such supply. Firms serving existing markets face the same task, but can draw on shared understandings of quality already present in the supplier community from which they recruit. Moreover, while quality definitions can be established at the industry level, they can also serve as a source of firm-level differentiation. Airbnb's success, for instance, owed in part to its ability to generate trust within its network and cultivate a distinctive sense of place, in contrast to competitors such as Craigslist. We therefore contribute to this literature by identifying the quality of complementors as a route to legitimacy in new two-sided markets, and community building as a strategic lever for sustaining supply-side participation.

Overall, we highlight that strategy formation during "adolescence" is constrained by the structure of the environment in which the venture operates. Entrepreneurs should adapt the pace and sequence of strategic decisions to differences in feedback frequency, coordination requirements, and market structure. This extends prior work on sequencing and interdependence in strategy formation (Ott & Eisenhardt, 2020; Hannah & Eisenhardt, 2018; Baumann & Siggelkow, 2013) by showing that effective sequencing emerges from the interaction between managerial choices and the underlying characteristics of the market.

Boundary Conditions and Future Research

Our theory is subject to several boundary conditions. First, our framework is most applicable to ventures where value creation depends on coordinating interactions between distinct user groups. In product-based ventures with largely independent customer interactions, the sequencing challenges we identify may be less pronounced. Second, our findings are particularly relevant in settings where early interactions must meet a minimum quality threshold and where coordination requirements are non-trivial, such as time-sensitive or operationally complex markets. In simpler or lower-stakes environments, the need to prioritize supply quality or product completeness may be reduced.

The importance of quality seems particularly relevant in markets where both sides of the marketplace are motivated to find a match. Our theory may be less relevant for platforms such as Facebook, where advertisers are very motivated to get increased eyeballs but there is little desire from a user to be matched with an advertiser. In such cases, building demand before supply seems much more likely than in the types of marketplaces that we study because network effects may emerge more organically, rather than requiring deliberate preparation. In settings where the attraction across sides is asymmetric and based largely on scale, network effects may be rapidly self-reinforcing and the preparatory process we identify may be less critical.

Third, we focus on early-stage ventures operating under resource constraints, where entrepreneurs must sequence decisions across interdependent domains. In settings where firms can invest simultaneously across domains, these sequencing dynamics may be attenuated - though others have found this to be cognitively difficult even with relatively unlimited resources. Future research could examine how these sequencing dynamics evolve as platforms mature and shift from preparing network effects to managing and optimizing them over time.

CONCLUSION

Our aim is to shed light on how platforms prepare to scale. Drawing on a theory-building study of eight ventures across multiple industries, we develop a framework that explains how founders sequence and pace interdependent decisions across supply, demand, product, and geography to create the conditions for network effects. We show that scaling in platform markets is not simply a function of attracting users, but of constructing a viable configuration of activities that enables consistent, high-quality interactions. This sequencing is not arbitrary, but contingent on marketplace characteristics that shape coordination requirements, demand structure, and geographic dynamics. These insights highlight that network effects are not given, but must be deliberately constructed before scaling can occur. More broadly, our findings contribute to entrepreneurial strategy research by showing how early-stage ventures structure demand and geographic expansion decisions as they move from initial traction toward scalable growth.

AI USE STATEMENT

The authors used both Claude and Gemini for cutting the abstract down to the required length and identifying gaps between the manuscript and what the reviewers had asked for in the revision. All AI-generated content was reviewed, verified for accuracy, and edited by the authors. The authors take full responsibility for the accuracy and integrity of all material in the manuscript.

REFERENCES

Baumann, O., & Siggelkow, N. (2013). Dealing with complexity: Integrated vs. chunky search processes. *Organization Science* **24**(1): 116–132.

Bingham, C.B., & Eisenhardt, K.M. (2011). Rational Heuristics: What firms explicitly learn from their process experience. *Strategic Management Journal* **32**(13): 1437–1464.

Boudreau, K. (2010). Open platform strategies and innovation: Granting access vs. devolving control. *Management science,* 56(10), pp.1849-1872.

Boudreau, K.J. (2012). Let a Thousand Flowers Bloom? An Early Look at Large Numbers of Software App Developers and Patterns of Innovation. *Organization Science*. INFORMS **23**(5): 1409–1427.

Boudreau, K.J. (2021). Promoting platform takeoff and self-fulfilling expectations: Field experimental evidence. *Management Science*, 67(9), pp.5953-5967.

Büge, M., &Ozcan, P. (2021). Platform scaling, fast and slow. MIT sloan management Review, 62(3), pp.40-46.

Caillaud, B., & Jullien, B. (2003). Chicken & Egg: Competition among Intermediation Service Providers. *The RAND Journal of Economics*. [RAND Corporation, Wiley] **34**(2): 309–328.

Cennamo, C., Ozalp, H., & Kretschmer, T. (2018). Platform architecture and quality trade-offs of multihoming complements. *Information Systems Research*, 29(2), pp.461-478.

Cennamo, C., & Santalo, J. (2013) Platform competition: Strategic trade-offs in platform markets. *Strategic Management Journal*, 34(11), pp.1331-1350.

Clough, D.R., Fang, T.P., Vissa, B., & Wu, A. (2019). Turning lead into gold: How do entrepreneurs mobilize resources to exploit opportunities?. *Academy of Management Annals*, 13(1), pp.240-271.

Cusumano, M.A. (2022). The Evolution of Research on Industry Platforms. *Academy of Management Discoveries*. Academy of Management **8**(1): 7–14.

Cusumano, M.A., Gawer, A., & Yoffie, D.B. (2019). *The business of platforms: Strategy in the age of digital competition, innovation, and power*. HarperBusiness.

DeSantola, A., & Gulati, R. (2017). Scaling: Organizing and Growth in Entrepreneurial Ventures. *Academy of Management Annals*.

Dushnitsky, G., Piva, E., & Rossi-Lamastra, C. (2022). Investigating the mix of strategic choices and performance of transaction platforms: Evidence from the crowdfunding setting. *Strategic Management Journal* **43**(3): 563–598.

Eisenhardt, K.M. (1989). Building theories from case study research. *Academy of management review*, 14(4), pp.532-550.

Eisenhardt, K.M., & Graebner, M.E. (2007). Theory building from cases: Opportunities and challenges. *Academy of management journal*, 50(1), pp.25-32.

Eisenhardt, K.M., Graebner, M.E., & Sonenshein, S. (2016). Grand challenges and inductive methods: Rigor without rigor mortis. *Academy of management journal*, 59(4), pp.1113-1123.

Eisenmann, T. (2021). *Why startups fail: A new roadmap for entrepreneurial success*. Crown Currency.

Eisenmann, T.R., Ries, E., & Dillard, S. (2012). Hypothesis-driven entrepreneurship: The lean startup. Harvard business school entrepreneurial management case, (812-095).

Eisenmann, T., Parker, G., & Van Alstyne, M.W. (2006). Strategies for two-sided markets. *Harvard Business Review* **84**(10).

Evans, D.S., & Schmalensee, R. (2016). *Matchmakers: The new economics of multisided platforms*. Harvard Business Review Press.

Gans, J.S., Stern, S., & Wu, J. (2019). Foundations of entrepreneurial strategy. *Strategic Management Journal*, 40(5), pp.736-756.

Gawer, A. (2014). Bridging differing perspectives on technological platforms: Toward an integrative framework. *Research Policy* **43**(7): 1239–1249.

Hagiu, A. (2009). Two-Sided Platforms: Product Variety and Pricing Structures. *Journal of Economics & Management Strategy* **18**(4): 1011–1043.

Hagiu, A. (2014). Strategic decisions for multisided platforms. *MIT Sloan Management Review*, 55(2), 71 to 80.

Hagiu A., & Wright, J. (2015). Multi-sided platforms. *International Journal of Industrial Organization* **43**: 162–174.

Hannah, D., & Eisenhardt K.M. (2018). How Firms Navigate Cooperation and Competition in Nascent Ecosystems. *Strategic Management Journal* **39**(12): 3163–3192.

Helfat, C.E., & Lieberman, M.B. (2002). The birth of capabilities: market entry and the importance of pre-history. *Industrial and corporate change*, 11(4), pp.725-760.

Huber, G.P., & Power, D.J. (1985). Retrospective reports of strategic-level managers: guidelines for increasing their accuracy. *Strategic Management Journal* 6(2): 171–180.

Jick, T.D., (1979). Mixing qualitative and quantitative methods: Triangulation in action. *Administrative science quarterly*, 24(4), pp.602-611.

Karhu, K., Heiskala, M., Ritala, P., & Thomas L.D.W. (2022). Platform Externalities. *Academy of Management Proceedings*. Academy of Management **2022**(1): 12091.

Katz, M.L., & Shapiro, C. (1994). Systems Competition and Network Effects. *Journal of Economic Perspectives* **8**(2): 93–115.

Koo, W.W., & Eesley, C.E. (2021). Platform governance and the rural–urban divide: Sellers' responses to design change. *Strategic Management Journal*, 42(5), pp.941-967.

Lee, S., & Kim, J.D. (2024). When do startups scale? Large-scale evidence from job postings. *Strategic Management Journal*, 45(9), pp.1633-1669.

McDonald, R.M., & Eisenhardt, K.M. (2020). Parallel play: Startups, nascent markets, and effective business-model design. *Administrative science quarterly*, 65(2), pp.483-523.

McDougall, P.P., & Oviatt, B.M. (2000). International entrepreneurship: the intersection of two research paths. *Academy of management Journal*, 43(5), pp.902-906.

Miles, M.B., Huberman, A.M., & Saldana, J. (2014). *Qualitative data analysis*. sage.

Ott, T.E., & Eisenhardt, K.M. (2020). Decision weaving: Forming novel, complex strategy in entrepreneurial

settings. *Strategic Management Journal* **41**(12): 2275–2314.
Ozcan, P., & Eisenhardt, K.M. (2009). Origin of alliance portfolios: entrepreneurs, network strategies, and firm performance. *Academy of Management Journal*. Academy of Management **52**(2): 246–279.
Parker, G., & Van Alstyne, M. (2005). Two-Sided Network Effects: A Theory of Information Product Design. *Management Science* **51**(10): 1494–1504.
Ries, E. (2011). *The lean startup: How today's entrepreneurs use continuous innovation to create radically successful businesses*. Crown Currency.
Rietveld, J., Schilling, M.A. (2021). Platform Competition: A Systematic and Interdisciplinary Review of the Literature. *Journal of Management*. SAGE Publications Inc **47**(6): 1528–1563.
Rochet, J-C., & Tirole, J. (2003). Platform Competition in Two-Sided Markets. *Journal of the European Economic Association* **1**(4): 990–1029.
Rochet, J-C., & Tirole, J. (2006). Two-sided markets: a progress report. *The RAND Journal of Economics* **37**(3): 645–667.
Roth, A.E. (2015). *Who gets what--and why: the new economics of matchmaking and market design*. Houghton Mifflin Harcourt.
Schilling, M.A. (2002). Technology Success and Failure in Winner-Take-All Markets: The Impact of Learning Orientation, Timing, and Network Externalities. *The Academy of Management Journal*. Academy of Management **45**(2): 387–398.
Tidhar, R., Hallen, B.L., & Eisenhardt, K.M. (2025). Measure twice, cut once: Unit profitability, scalability, and the exceptional growth of new firms. *Organization Science*, 36(1), pp.88-120.
Tiwana, A. (2014). *Platform ecosystems: Aligning architecture, governance, and strategy*. Newnes.
Volmar, E., & Eisenhardt, K.M. (2025). Mavericks and diplomats: Bridging commercial and institutional entrepreneurship for society's grand challenges. *Organization Science*, 36(2), pp.572-600.
Wormald, A., Shah, S.K., Braguinsky, S., & Agarwal, R. (2023). Pioneering digital platform ecosystems: The role of aligned capabilities and motives in shaping key choices and performance outcomes. *Strategic Management Journal*, 44(7), pp.1653-1697.
Zhu, F., & Iansiti, M. (2012). Entry into platform-based markets. *Strategic Management Journal* **33**(1): 88–106.
Zott, C., & Amit, R. (2010). Business model design: An activity system perspective. *Long range planning*, 43(2-3), pp.216-226.

TABLES AND FIGURES

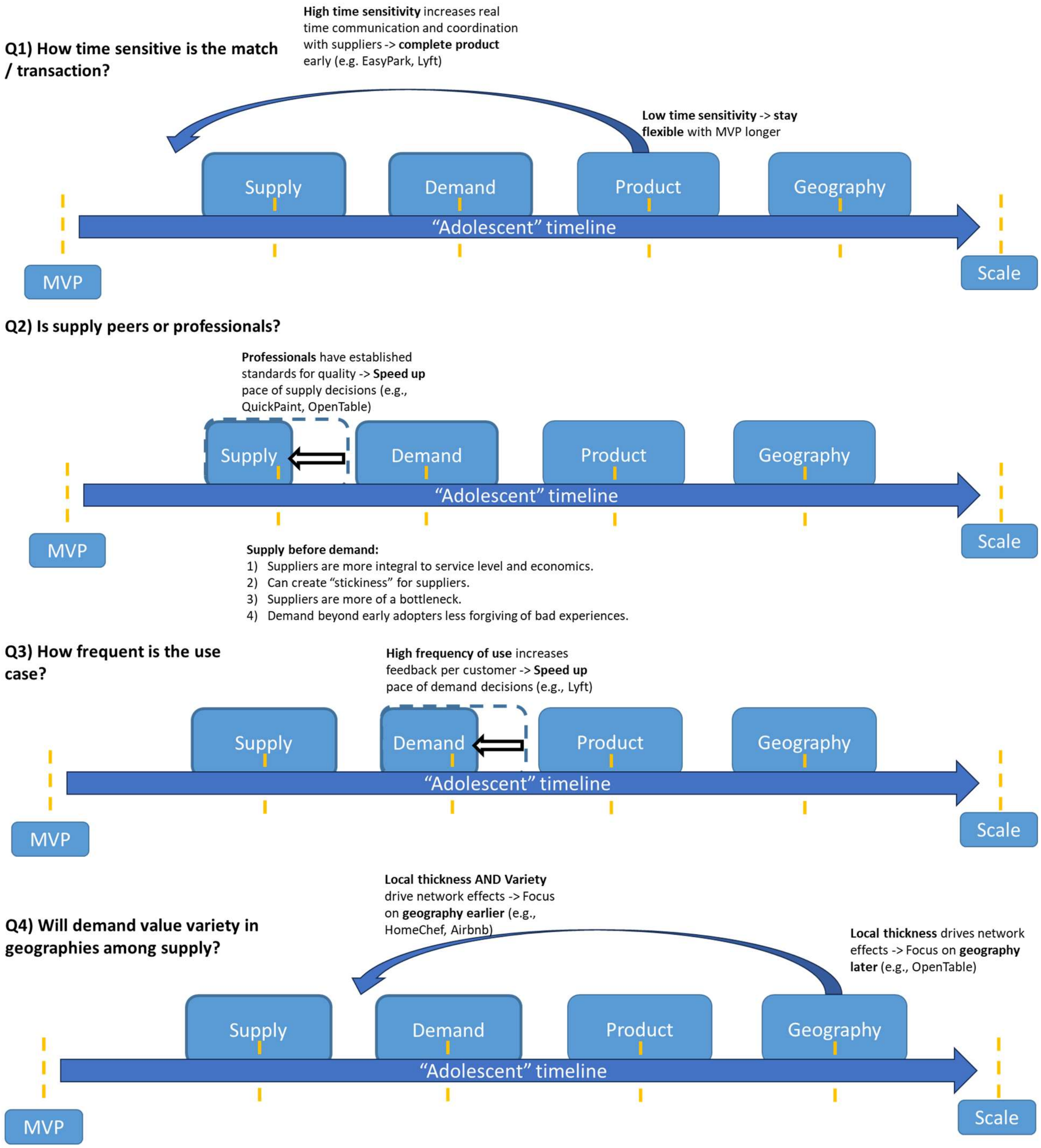


Figure 1: Suggested sequence and pace of decisions contingent on two-sided market characteristics

Table 1: Description of Sample and Data

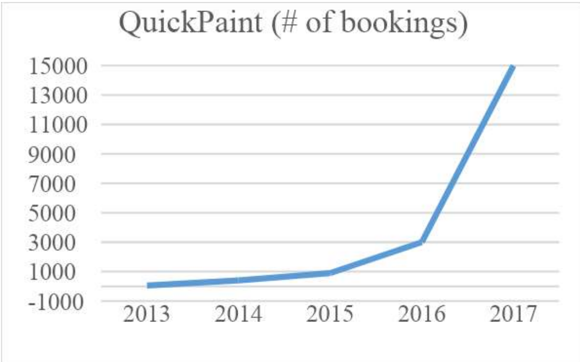
Firm	Founding Year	Founding Location	Number of Founders	Description	# Primary Interviews / Waves	# of Secondary Interviews	Number of Articles	Sample Sources
Field cases								
EasyPark	2013	Boston	1	Connects drivers and owners of parking spots	7 / 4 waves	5	24	Boston Magazine, TechCrunch
HomeChef	2012	San Francisco	2	Connects hosts and guests of food events	8 / 4 waves	4	52	Hindustan Times, India Today, CNN, Huffington Post
QuickPaint	2013	New York City	3	Connects painters and customers	6 / 4 waves	6	27	Fortune, Huffington Post, TechCrunch
Archival cases								
Airbnb	2007	San Francisco	3	Connects hosts and guests for accommodations	2	24	432	The Atlantic, New York Times, TechCrunch
Etsy	2005	New York City	4	Connects crafts makers and customers	1	9	184	The Guardian, Venturebeat, Inc. Magazine, Quora
Lyft	2012	San Francisco	2	Connects drivers and riders	2	18	644	Business Insider, Inc. Magazine, Pando
OpenTable	1998	San Francisco & Chicago	2	Connects restaurants and diners	0	9	181	Doejo, Eater, Forbes, TechCrunch
Udacity	2011	San Francisco	3	Connects teachers and students	2	12	449	Fast Company, Inside Higher Ed, Reuters

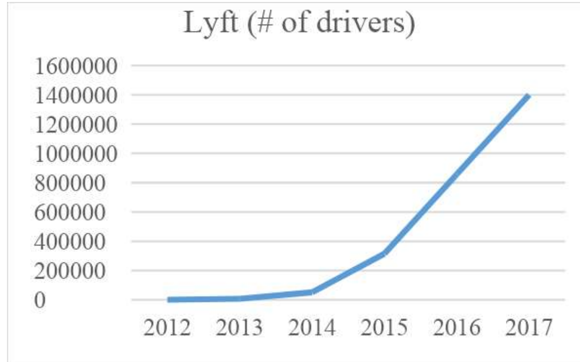
Table 2: Market characteristics and observed timelines

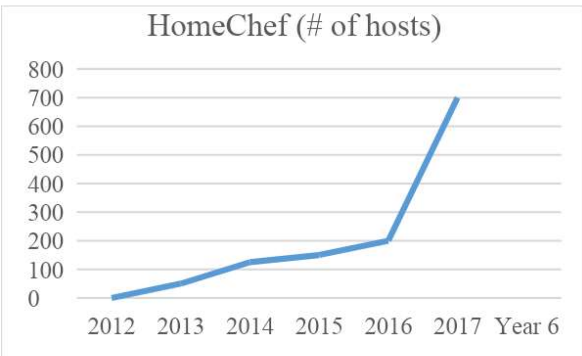
Firm	Suppliers targeted	Expected frequency of use case	Time sensitivity of matches[2]	Importance of local thickness	Value of variety across geographies	Observed adolescent decision sequence/pace	Missteps / Challenges
EasyPark	Peers	High	High	High	Low	Product -> Supply (slow) -> Demand (fast) -> Geography	Tried to grow supply/demand without complete product, had to go back.
HomeChef	Peers	Low	Low	Moderate	High	Supply (slow) -> Geography -> Product -> Demand (slow)	Both supply and demand required a lot of time.
QuickPaint	Pros	Low	Low	High	Low	Supply (fast) -> Demand (slow) -> Product -> Geography	Launched SF without completing product
Airbnb	Peers	Moderate	Moderate	Moderate	High	Supply (slow) -> Geography -> Product -> Demand (moderate)	Initially stuck on conventions, trying to recruit both hosts and guests in multiple cities.
Etsy	Pros	High	Low	Low	N/A	Supply (fast) -> Product -> Demand (fast)	Completely tore down product all at once instead of piece by piece to keep it functional.
Lyft	Peers	High	High	High	Low	Product -> Supply (moderate) -> Demand (fast) -> Geography	Relying mostly on incentives for drivers was subject to major competitive pressures, centralized decision making not as flexible for expansion.
OpenTable	Pros	High	High	High	Low	Product -> Supply (fast) -> Demand (fast) -> Geography	Expanded too much, too soon without first focusing learning on demand or geographies
Udacity	Pros	Low	Moderate	Low	N/A	Supply (fast) -> Product -> Demand (slow)	Did not find anyone to pay before diving into scaling. MOOC model did not work, pivoted to lifelong learning.

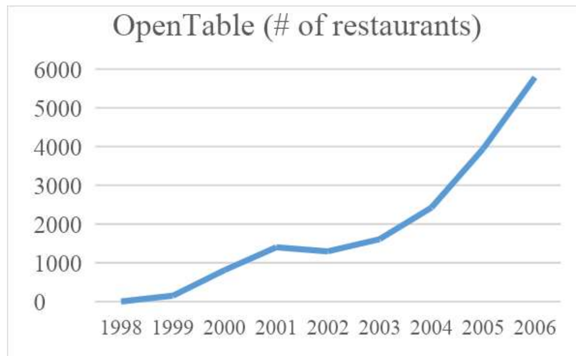
[2] We coded several platforms as moderate because they needed immediate confirmation (mostly for supply to track bookings) but the exchange could be organized later.

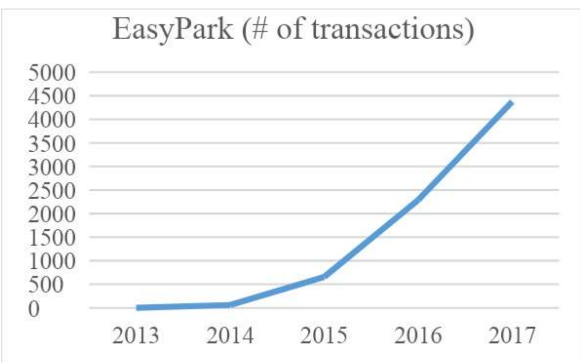
APPENDIX A: Firm Growth Patterns

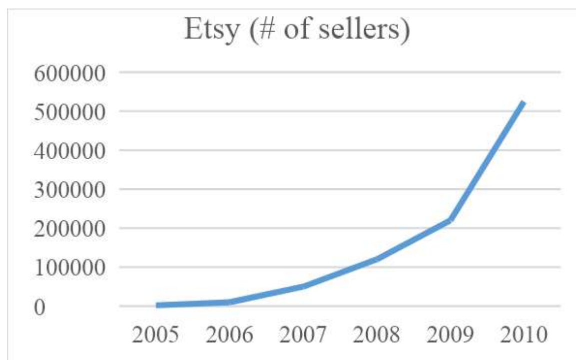


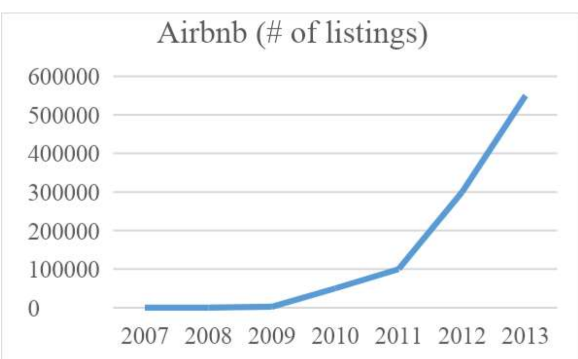


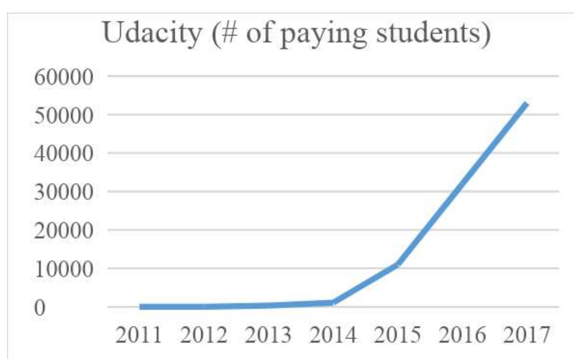












Appendix Table A2. Product Completeness Timing Based on Time Sensitivity of Matches

Firm	Time sensitivity of matches[3]	Continued manual intervention for matching supply/demand
EasyPark	High	"*We did a lot of manual hand-holding to fix these problems [with the product]. Often, CEO would get on the phone and fix it. Obviously, that's not scalable.*" (Advisor)
HomeChef	Low	"*So right now, once the user enters information onto the form, I mean, [Cofounder] and I basically, effectively get that information in our email and we're just doing everything manually, so, the matching with the host, the emailing with the host… All of that is done, the payment, sending out an invoice via PayPal, all of that's done manually right now.*" (Co-CEO 1)
QuickPaint	Low	"*We have an internal review system right now, which isn't fully built out. It's on the docket for [later], but we do keep a close eye on customer feedback. And right now, it's fairly manual, but a crew does need to maintain a certain level of rating in order to continue to receive jobs. In the future, I envision that that becomes a pretty sophisticated system.*" (CEO) "*It was a form that didn't even go into a database, it just went straight to the customer service reps, and everything was done through e-mail. All we had was a website with a backend that served pages and brought out e-mails when someone submitted a form.*" (CTO) "*What we're sort of working on now is bringing that robust functionality all the way to the consumer. We have right now the in-between step between the full quoting functionality that we have internally and the initial naïve MVP that is currently on our website and what we're working right now is really bringing the entire quoting process online that someone can use... Can go online, start to finish and get an accurate quote and book online.*" (CTO)
Airbnb	Moderate	"*We try to be very active about how we manage the marketplace, and that's one of the keys to a site like ours—you have to be a bit more hands-on.*" (CEO)
Etsy	Low	"*I see the company itself as a handmade project," he once said, "and we'll continue to build it this way.*"" (Founding CEO) "*[The product] was initially more of a visual experience than a technology experience.*" (Investor)
Lyft	High	"*With Zimride, bugs didn't matter as much because it wasn't real-time—people could try again the next day. With Lyft, it's real-time. It has to work perfectly. The first couple of months were rough on technology, but people were connecting with it.*" (CEO) "*The problem was people want transportation now, not planning days in advance.*" (CEO)
OpenTable	High	"*[Immediately] we have to be able to mirror that or mimic that or take the paper based system that they were using and move it into a digital system and actually make it a system that helped the restaurant run better.*" (Founding CEO) "*You can log in to the site and check for availability in real time or reservations at several top restaurants across the US.*" (Founding CEO) "*Our really killer feature is availability—real-time availability at the best restaurants at the best times. To do that, you have to have a very compelling software solution for the restaurant.*" (CEO 2)
Udacity	Moderate	"*I spent several hours a week on the discussion forum looking to questions and answering them and it's a lot of fun because listening to my students online some of them are amazingly smart and amazingly insightful and and I feel I can really help the community to learn and can you mention some of the classes for people that haven't seen what class you have available that you're teaching.*" (Executive chairman)

[3] We coded several platforms as moderate because they needed immediate confirmation (mostly for supply to track bookings) but the exchange could be organized later.

Appendix Table A3. Pace of Supply Decisions for Peers vs. Professionals

Firm	Suppliers targeted	How they detected high quality suppliers	How they recruited and retained high quality suppliers	Pace of supply decisions
EasyPark	Peers	"*I have to concentrate on the inventory side. When we started to see the inventory was really expensive to get digitally then we flipped and said, "Let's get sales guys." From that we learned that we were going after the wrong type of property. And it was just like test after test was teaching us more and more...*" (CEO)	N/A	Slow
HomeChef	Peers	"*We want to make sure its safe and a memorable experience so every host that we bring into our community has been personally vetted. We've tasted their food, we've been in their homes, we've made sure its in a safe neighborhood and they serve clean water… We don't bring everyone on, we try and find the best home cooks around the world.*" (Co-CEO 1) "*Some of it can also be trained a little bit which is a whole other thing, making sure hosts know that travelers like that.*" (Co-CEO 2)	"*We try and involve them in other ways if they're feeling left out by asking for their recipes, so that we can share them on our blog and things like that.*" (Co-CEO 1)	Slow
QuickPaint	Professionals	"*[First painter] actually was an unbelievable source of education for us. He became a really important part of this company, still with us today and he has become a good friend of ours too. But we learned a ton through him.*" (CEO) "*I think it was luck that we got this first guy who was awesome. In terms of paint skill, how to screen out guys that are good talkers and seem like they know what they're talking about, from guys that actually know what they're talking about. It took us about three months to figure out how to do that.*" (COO) "*When we entered the market, none of us knew painting in depth, and so who better to say someone is a qualified painter than another painter? For us to go and try and judge someone, we wouldn't be able to do a great job of it.*" (CTO)	"*It just benefited the crews in so many different ways.*" (CEO) "*There's a ton of value to the supply side on our platform, a ton of value. So word spreads, and we start to get a lot of inbound interest from paint companies pretty quickly after we open a market up.*" (CEO)	Fast

Airbnb	Peers	“*Paul Graham encouraged us... "It's better to have a hundred users that love you than a thousand users that like you." We went to New York and created our evangelists. We'd call them and say, "Would you like a professional photographer to come by?" And it was Joe or Brian coming to shoot the photos.*” (CTO) “*We came across another problem: our hosts didn't know how to take good photos… We went throughout New York City, met all 50 of our hosts, and took photos for them for free. It didn't scale at all, but it gave us a reason to sit in their living rooms and listen. It also set a standard of quality. When new hosts saw those 50 gorgeous listings, they thought, "I guess I need good photos."*” (CPO)	“*We are a trusted community marketplace. We have this social layer where you can actually see friends of friends and stay with people in your extended network. It's a marketplace where you book with a single click, the way you book a hotel, and we have a collection of reviews that are transactional, kind of like eBay.*” (CEO) “*We used to have a "groups" feature for interests; the most popular group was photographers. We needed a thousand photographers, and the best way to find them was to email the people in our own community. Airbnb is becoming its own ecosystem.*” (CEO) “*We started realizing we are a business that's connecting people in person; it's about relationships. So we try to have a relationship with all the hosts on our website.*” (CEO)	Slow
Etsy	Professionals	"*In addition to the crafters being the sellers on the site, they were the curators.*" (Investor) “*Sellers registered instantly, telling other crafters and spreading the word in online forums.*” (Medium) “*[Sellers] also told their friends at even larger crafting community forums about Etsy, which brought even more sellers.*” (Head of Product Management)	“*My biggest goal with Etsy and beyond Etsy is just empowering individual people to make their own living. I think that has to do with, you know, giving them the tools they need to make stuff—which can be literally tools, but it can also be the education they need on how to make it.*” (Founding CEO)	Fast
Lyft	Peers	“*The first thing we tried were magnets that said "Lyft" on the side of the car, but it looked kind of janky. Then one night, John joked, ‘Why don't we put a mustache on the car?’ We tried it for a few weeks and I said, ‘Okay, that was fun, but we should probably stop now.’ And John was like, ‘No, we got to keep it…’ Drivers felt like celebrities because nobody had ever seen it before. It turned heads. It creates this idea of ‘delivering happiness.’*” (CEO)	“*I think the general message we're going for today is that people love Lyft. It's a great thing that makes the community safer and closer and just it's generally just a great thing that people really enjoy and it should be here to stay.*” (Driver at community meetup) “*We worked hard to make it easy to become a driver—it takes about an hour to apply. We match them with "mentors" (top drivers) for onboarding. We took the friction out of the process while maintaining top background and vehicle checks. Because it's frictionless, you get people who do it for a few hours or decide to go full-time. We welcome both.*” (CEO)	Moderate
OpenTable	Professionals	“*Zagat [guides] was a was an interesting publication then because we could look at who were the most popular restaurants in an area were.*” (CEO)	“*For high-demand restaurants, it wasn't necessarily about incremental diners; it was more about taking better care of their current customers. They wanted to know the background and history... what their favorite wine might*	Fast

			be, what their favorite table might be. So for them, it was a CRM tool." (CEO) "*One of my theories in life is that if you got a two-sided network if you can seed one side of the network so that you provide value to one side before the other side actually needs to participate you can build one side up and then hopefully encourage the other side to come and so with restaurants the idea was is that we could find those people who didn't care about internet reservations that wasn't their thing they wanted to take better care of their current customers.*" (CEO) "*So we would look at the Zagat Top 20. We would go after those restaurants selling them a product that helped them take better care of their VIPs. Now the next 75 restaurants in a market all want to be like those top 20. So now you can use social proof to sell the system.*" (CEO)	
Udacity	Professionals	"*When we work with companies, uh, the companies often give us an expert, and the expert is a technical expert. And we work with that expert to extract the knowledge from his brain and put it into an online format."* (Executive chairman)	"*We've had an extreme success with employers, with companies. They're actually funding class development right now—a good number of them specifically because they're desperate to get highly skilled labor. And it turns out our universities, as—as great a job as they do, very often don't have classes on the latest and—and best that's available. So they want to move faster. Society is moving at a faster and faster pace; new technologies come into the market at an unbelievably fast pace today, and the universities can't keep up. So they want us to step in and help.*" (Executive chairman)	Fast (Once they pivoted to firms)

Appendix Table A4. Pace of Demand Decisions Based on Expected Frequency of Use

Firm	Expected frequency of use case	How they recruited demand	Pace of demand decisions
EasyPark	**High**	"*The demand side is easy, that's been something that I haven't really worried much about because everyone's trying to find parking in a different way these days. Some people have their secret spot downtown, some people just go to the same garage everyday, but this is right in between.*" (CEO) "*We saw very early on the demand side did not... We just didn't need to... We didn't need to work as hard to get the demand side as we did the inventory side. And that's gonna hold true across every market we go to because there's always going to be more people looking for parking than people who actually have parking.*" (CEO)	Fast
HomeChef	**Low** "*Travelers aren't all traveling at the same time.*" (Co-CEO 2)	"*[Word of mouth] won't help us to get to the next scale of customer acquisition. So, to do that, we're looking more at other kinds of partnerships with people in the travel pipeline, so, and thinking about for us, how do we get travelers? We'd have to think, where are travelers finding information? And at what point in their traveler journey are they thinking about booking something like this?*" (Co-CEO 1) "*What is difficult and the challenge of trying to grow your business is to really try and understand what are the marketing channels we can use to get in front of travelers. For us, we have to be in the top of their minds at the right time when they are traveling.*" (Co-CEO 2)	Slow
QuickPaint	**Low** "*And then, one day we realized the business isn't that repetitive. Customers don't come back for a second or third. So every month, the slate's wiped clean. You have to start over.*" (COO) "*That customer doesn't come back on average two years.*" (CEO)	"*We didn't know who we were going after, at first. We just thought, "Okay, there's painting. Everybody needs painting. Let's go after everybody." We didn't realize all the subsets of painting. We didn't realize how... We honestly didn't do enough work to realize how a lot of people consume painting services back then.*" (COO) "*Yeah, we learned presently that office business in certain cases can be recurrent. So, in that situation, we're still trying to figure out the economics but it could make more sense to kind of get in the door at a loss, and then, build up that relationship.*" (CEO)	Slow
Airbnb	**Moderate** "*In the travel business, where it's important to be top of mind, you're not necessarily going to use a site the first time you hear about it; maybe you need to hear about it three, four, five, six, seven times.*" (CEO)	"*They would travel to New York, and they'd also travel to San Francisco, and then they'd go back to their city and they'd spread the idea.*" (CEO) "*People stay in a city, travel to another, and literally spread the concept.*" (CEO) "*There was a moment in Airbnb's history—I don't think many people know this—we had a big launch in August 2008 for Barack Obama's speech in Denver. 100,000 people came to a city with 20,000 hotel rooms. We had a huge spike in traffic, we thought "Yes, we made it," and then the day after the convention, the spike went straight back down. We entered what's known in the startup world as the*	Moderate

		"Trough of Sorrow"—that period where the product and market are not touching, and you have zero growth for months." (CPO)	
Etsy	**High** "*Once consumers interact with the site and find something to either buy or sell, they seem to become loyal customers.*" (Techcrunch)	"*If you look at Etsy's online marketing efforts, it spends next to nothing on customer acquisition.*" (Techcrunch) "*Etsy's incredible organic channel is the entrepreneurial drive of its sellers.*" (Medium)	Fast
Lyft	**High** "*US consumers spend over $2 trillion on transportation every year, and almost all of that is spent on people's personal cars. $2 trillion—that's 20% of a household's budget. It's the second-highest household expense. It is massively expensive. And what we're doing with Lyft is trying to make that unnecessary.*" (CEO)	"*What we have is 80% of our passengers are coming in organically.*" (Co-founder) "*There was so much demand for this product and it just kind of shot through the roof.*" (Investor)	Fast
OpenTable	**High** "*The economy`s good, everyone`s going out to dinner.*" (News anchor interviewing CEO)	"*Everyone's going to have this problem, you know, sort of thing, right.*" (CEO)	Fast
Udacity	**Low**	"*I mean it's going to be a roller coaster ride for us to see if we really succeed in in reaching large number of people I think we have to experiment a lot with the medium and make sure that our students really get empowered through the classes that we teach they're building up an entire curriculum we're… There's challenges. We have to understand how to combat cheating how to make sure that whatever certificate we hand out has a value.*" (Executive chairman) "*We get kids typically from 24 years old on, all the way to any age. And that's the time when people realize, "Oh, maybe the college degree isn't enough," and when people want to take education into their own hands. And then there's a huge vacuum. No top university looks into what's called "adult learners."*" (Executive chairman)	Slow

Appendix Table A5. When to Focus on Geographic Expansion

Firm	Importance of local thickness	Value of variety across geographies	Example quotes
EasyPark	High	Low	"*It's going to be similar stuff. Obviously, we'll have probably a bigger marketing budget for each city but it should be similar ways to do it as far as having a key member too in each city to understand the outreach and then also understand the customer service aspect of it, 'cause it would be very difficult for someone to help a Chicago-based parker from Boston. So we just need to make sure we have some teams in place and then we'll work on building the inventory with the street marketing campaigns that I told you about before we launched in each city.*" (CEO) "*It's finding that balance between the amount of drivers, versus the amount of available parking, versus the amount of public transportation, and the utilization rate of public transportation. I think those are really big key factors, the other being how the city's laid out and where important things that people are traveling to are located. Whether that's ball parks, city halls, major theaters, night club districts, restaurants, all those things come into account and how accessible parking or public transit is in those areas.*" (VP of Marketing)
HomeChef	Moderate	High	"*To enable [demand scale], the two things that we have to have into place are the right host density in a few markets and then the technology to support that.*" (Co-CEO 1) "*So, we're looking at taking two to three cities across probably two countries, and looking at growing hosts, sort of 10X in some of those regions, so that we can try some of the partnerships that will enable us to drive traveler scale.*" (CO-CEO 1) "*Our travelers booking experiences in India are also looking for experiences in Sri Lanka because that's where they're going next.*" (Co-CEO 2) "*That's been a big lesson for us. Every city and every country has its own unique cultural differences so some things that work in some places don't work in other places. Like in Hong Kong for instance I ran into a lot of more challenges than anywhere else about people's willingness to let me into their homes… So while we were there I kind of realized the host acquisition strategy had to change.*" (Co-CEO 1)
QuickPaint	High	Low	"*Some cities are more public transportation, so a lot of the paint companies take public transportation, others drive vans, or go on trucks around, so. You know the way our system works is we have to figure out that piece [for each city] as part of our backend.*" (CEO)
Airbnb	Moderate	High	"*The thing is that we were a travel product in New York, which meant unlike other companies where the supply and demand, like Uber, the drivers and riders were in New York. On Airbnb, the hosts were in New York but the travelers came from all over the world.*" (CEO) "*With a single click, you can get access to people and spaces all over the world in cultures you never even knew existed. It's a growing movement that's going to truly change the way an entire generation travels.*" (CEO)
Etsy	Low	N/A	"*About 30 percent of our transactions happen outside of the U.S. right now or involve at least one party outside of the U.S. It involves people buying stuff made in the U.S., meaning it goes in both directions.*" (CEO 3)

Lyft	High	Low	"*Yeah, so—so if you think about this—this network, uh, that we're building, it—a great parallel is the wireless industry. So it's phenomenally expensive to put up 4G—4G cell phone towers across the country, right? AT&T and Verizon invest billions and billions of dollars to create that level of coverage. Uh, and for us, uh, our cell towers are having drivers and having a great driver about three minutes away. That's—that's the network. And once you have, you know, a great reliable driver just a few minutes away, uh, you have the network to operate and to compete.*" (CEO)
OpenTable	High	Low	"*We went broad first and then realized that we would have run out of money. So then we went narrow and we picked four cities to focus on and we went deep on each of those cities… As you penetrate the supply of availability of the best restaurants in the market, diners find the service useful and more book online versus the phone. We basically mapped this curve of adoption at each city that we were in, and once we found that wow, it really is working and it's very predictable and repeatable, then we expanded out to other cities.*" (CEO 2) "*These are local two-sided networks right like a restaurant in Seattle didn't matter to San Francisco only restaurants in San Francisco matter to San Francisco.*" (Founding CEO)
Udacity	Low	N/A	"*So for a student of the future, if he or she uses Udacity or somebody else, the only requirement has to be: Do we have internet connectivity? And it still is sad that half of humanity doesn't have internet, but it's so much better than even two or three years ago. I was just reading a study that said more people have access to cell phones than toilets now, which is tragic but also profound.*" (Executive chairman)